

Breaking the digital frontier.

Innovations shaping Vietnam's transformation.



An industry report for
2024-2025 by Acclime,
supported by UOB.
Investor community
partner: AVV



ACCLIME.



Contents.

	Page
1 Riding the Wave Capitalising on Vietnam's Digital Transformation for Growth and Innovation	3
2 Reimagining Asia & SEA A Journey Through Digital Transformation	6
3 Vietnam Economic Outlook Economic Landscape and Future Prospects	13
4 Deconstructing Vietnam's Digital Economy Where Opportunity Meets Fundamentals	17
5 Vietnam's Digital Transformation Snapshot Current Landscape, Strategic Plans, and Future Growth Drivers	21
6 Digital Transformation The Way to Sustainable Development	27
7 Breaking Barriers How Digital Technology Transforms Industries	33
8 Regulatory Insights Prominent Policies Towards Digitalization and Green Growth	51
9 Addressing Key Barriers Navigating Complexity Emerging Challenges in Digital Transformation	57
10 Looking ahead	60

RIDING THE WAVE

Capitalizing on Vietnam's Digital Transformation for Growth and Innovation.

1

In the last 5 years, Vietnam has started to actively promote a strategic and structured investment shift by transitioning towards new technologies, high-tech manufacturing and digital innovation across the public and private sector. Through the National Digital Transformation Programme by 2025, with orientations toward 2030, Vietnam aims to improve the competitiveness of its economy, with the digital economy accounting for 30% of overall GDP by 2030.

Digital transformation serves as a cornerstone for economic growth and internationalisation, exerting a profound influence across global governance frameworks and civil systems. In Asia-Pacific, it represents a driving force for innovation, sustainability and economic development.

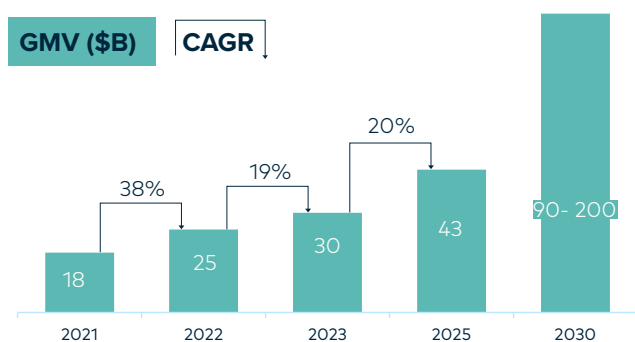
Vietnam's digital economy is primed for greater growth.

In the last 5 years, Vietnam has started to actively promote a strategic and structured investment shift by transitioning towards new technologies, high-tech manufacturing and digital innovation across the public and private sector.

The impact of digital transformation is evidenced by its contribution to Vietnam's economy. According to the e-Economy report,

In 2023, the Vietnam digital economy was estimated at US\$ 30 billion in revenue, growing at 19% CAGR since 2022 and it is on track to reach approximately US\$ 43 billion by 2025.

Overall digital economy



Source: The e-Economy SEA 2023 report

E-commerce, travel, transport, and media contributed US\$ 29 billion in revenue, fueled by the growing middle class, tech-savvy population, and the dynamic e-commerce ecosystems, accompanying strong expectations of economic growth.



Policies underpinning digital growth and innovation.

Vietnam has proactively embraced innovation and digital transformation as catalysts for advancing economic growth. A significant milestone in this trajectory occurred with the Prime Minister's endorsement of the National Digital Transformation Programme by 2025, with orientations toward 2030 on June 3, 2020, marking a pivotal moment in the nation's digital evolution. This initiative underscores Vietnam's ambition to emerge as a frontrunner in digital prowess within the ASEAN region by 2030 and underscores its commitment to comprehensive experimentation with emerging technologies in the digital sphere.

The program outlines Vietnam's pursuit of developing an efficient, transparent, and accessible digital government to serve all citizens, fostering an inclusive and sustainable digital economy, cultivating a secure and equitable digital society, and nurturing Vietnamese digital enterprises with global competitiveness.

Through this program, Vietnam aims to improve the competitiveness of its economy, with the digital economy accounting for 30% of overall GDP by 2030.



Digital transformation for a more sustainable Vietnam.

Vietnam ranks 78 among the most vulnerable countries in the world that are at particular risk of flooding, rising seas, landslides, and intense heat waves, based on the latest data provided by The INFORM Risk Index 2024. It is the reason why digital transformation can play a cornerstone role in climate change mitigation. Moreover, digitalisation stands poised to expedite Vietnam's swift progression toward sustainable development and achieving low carbon emissions by 2050. Its role in driving efficiency enhancements and fostering cross-sectoral coordination is instrumental in this endeavor.



The integration of digital transformation and ESG principles embodies the new standard for responsible business conduct, where leveraging technology not only enhances operational efficiency but also facilitates the systematic incorporation of Environmental, Social, and Governance considerations. Embracing ESG implementation isn't just a choice; it's a strategic imperative for businesses navigating an increasingly interconnected and conscientious global marketplace.



“As Vietnam is progressing its industry 4.0 advancement, digitalisation is an imperative mandate for the private and public sector alike. Looking at the entire value chain from a sustainable, interconnected perspective, instead of a silo viewpoint, will enable investors that are part of the digital economy to thrive and reap the benefits that the Vietnam's economy brings. Digitalisation and sustainability are not a zero-sum game, but are deeply interconnected, leveraging each other to drive long term growth.



Vlad Savin
Partner
Acclime Vietnam

REIMAGINING ASIA & SEA

A Journey Through Digital Transformation.

2

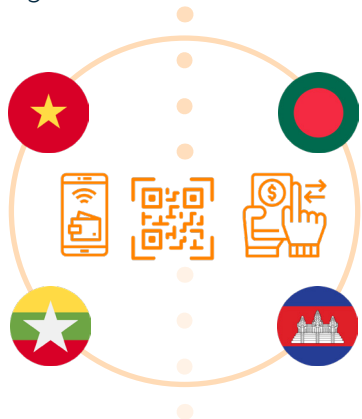
Digital transformation is spearheading a significant growth phase in the Asia-Pacific region. Consequently, both private and public stakeholders are closely monitoring this emerging opportunity, recognising it as a strategic development sector with substantial future growth potential.



Asia's digital landscape.

Digital transformation is spearheading a significant growth phase in the Asia-Pacific region. Consequently, both private and public stakeholders are closely monitoring this emerging opportunity, recognising it as a strategic development sector with substantial future growth potential.

The Asia Pacific Digital Transformation Report 2022 highlights that digital transformation is primarily driven by digital finance. For example, digital financial service providers, including FinTech firms and telecommunications companies in the Philippines, were pioneers in introducing e-wallets and enabling cash transactions via text messaging. Similar transformations are occurring in Vietnam, Myanmar, Bangladesh, and Cambodia. The rapid increase in e-wallet usage is fueled by greater smartphone accessibility and the introduction of innovative features such as QR code integration.



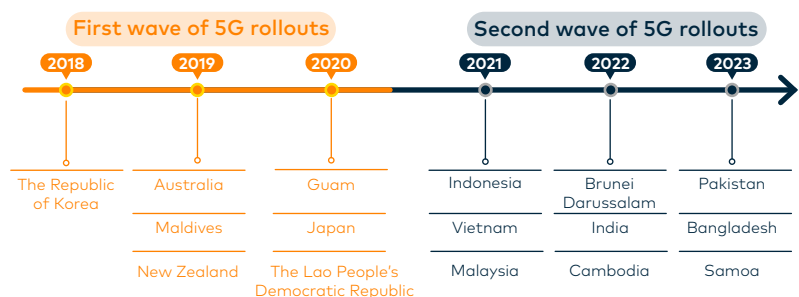
However, due to the vast geographic disparities within subregions, some East Asian nations like China and Japan are well-connected digitally, while the Pacific islands are among the least connected, followed by countries in South and South-West Asia. For instance, Singapore is the most advanced, whereas Myanmar lags behind. Additionally, the gender digital divide is prevalent across the region.

Smart infrastructure - the heart of digital transformation.

Mobile connectivity remains pivotal in driving digital innovation across the Asia-Pacific region, facilitating the adoption of transformative technologies by individuals and enterprises alike.

According to GSMA Intelligence, at the end of 2023, 78% of the Asia population owned a smartphone and it is expected to reach 91% by 2030. Furthermore, smartphone adoption plays an important role in enabling governments to deliver positive societal impacts. For example, Japanese and Korean authorities implement early warning systems to announce climate-related and geophysical disasters to their citizens.

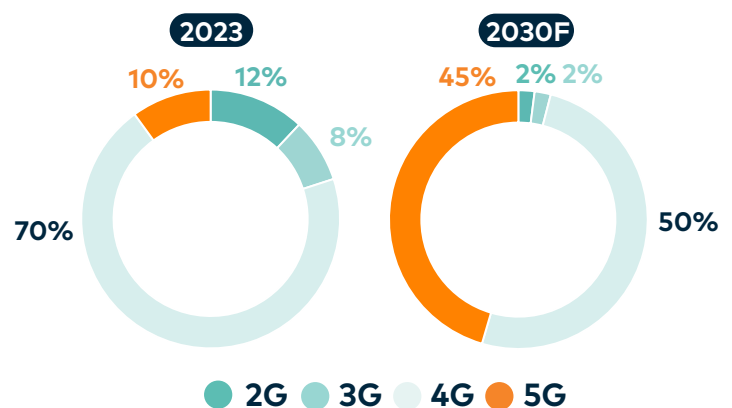
5G coverage is expected to serve as the foundation for a plethora of innovations and new services on mobile platforms that help the widespread adoption of this technology across the region.



The progress of 5G internet in the Asia Pacific | Source: GSMA Intelligence.

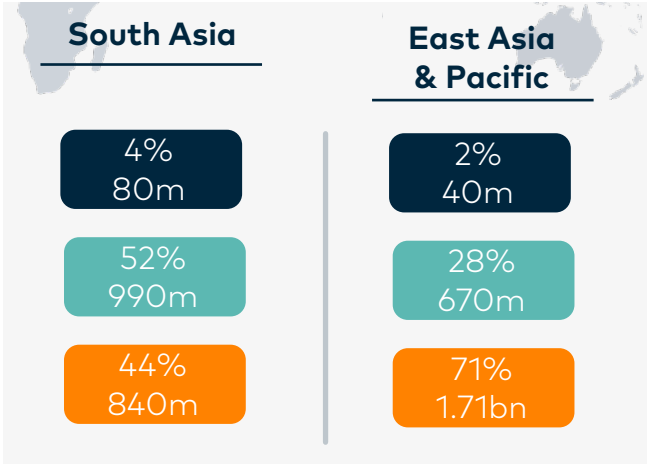
Across the Asia-Pacific region overall, 4G coverage accounted for 70% while the share of 5G connections made up only 10% in 2023. 5G coverage is projected to expand to 45% by 2030.

Technology mix



The adoption of the technology mix in the Asia Pacific in 2023, excludes China | Source: GSMA Intelligence

According to a recent GSMA report, the pace of digital adoption in 2022 varied significantly across the region. Developed Asia-Pacific countries such as China, Australia, Japan, New Zealand, Singapore, and South Korea are leading in adoption, driven by the expansion of network coverage and the increasing prevalence of 5G devices. In contrast, in South Asian nations, internet affordability remains a significant barrier, with 52% (990 million people) unable to afford internet access. Additionally, 4% of the population lives in areas not covered by a mobile broadband network, and only 47% (840 million people) have access to mobile internet.



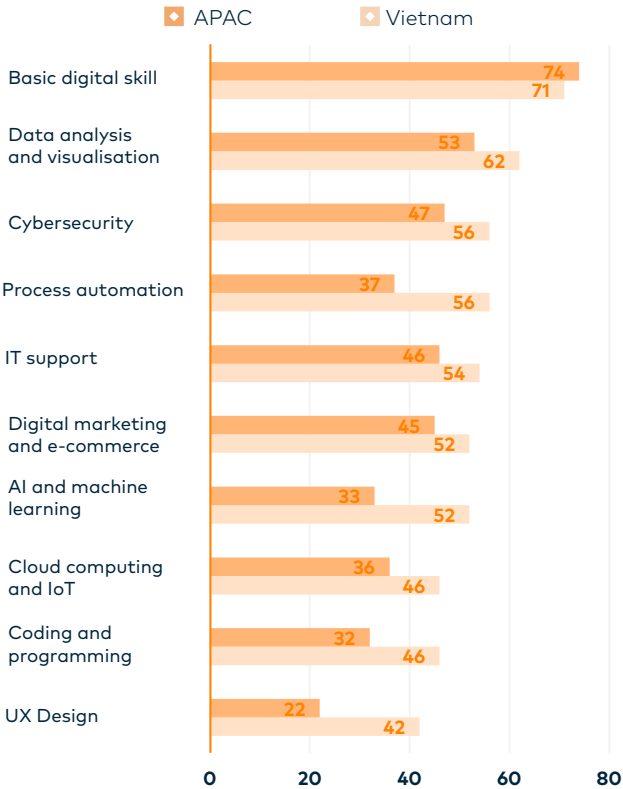
State of mobile internet connectivity by region, 2022 | Source: The State of Mobile Internet Connectivity 2023

Digital skills in Asia – an evolving development.

Digital skills are essential for fostering inclusive connectivity and ensuring a digitally inclusive future. Across the Asia-Pacific region, governments and private stakeholders have initiated programs aimed at enhancing digital skills such as UX design, AI and ML, cloud computing and IoT, cybersecurity, etc.

While Vietnam is aiming to transition into a high-income nation by prioritizing its digital economy and becoming a fully digital society by 2030, digital skills are the key factor to achieve these ambitious goals. A research led by Economist Impact, supported by Google revealed that digital skills are valued by 52% of Vietnamese employees, higher than the APAC average of 45% by 2030.

Which specific types of advanced digital skills are a must have for the workforce in your sector in today? (% of respondents who selected “must-have”)



Must have advanced digital skills for employees in Vietnam vs APAC | Source: Economist Impact, 2023

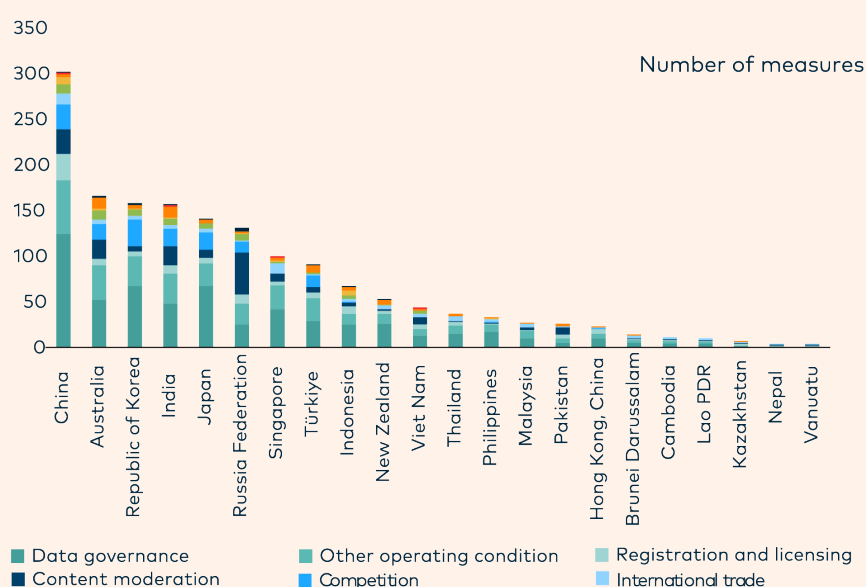


Digital policies adoption in Asia.

Legal frameworks are evolving to keep pace with the dynamic digital landscape, addressing its continuous evolution. Ensuring the security of online transactions and protecting data from misuse are paramount in this context. Since January 2020, a significant array of measures related to digital trade and online activities have been implemented by Asia-Pacific nations, with China leading this regional trend, followed by Australia, South Korea, and India. New regulations have been introduced in areas such as data governance, operational conditions, content moderation, competition, business registration, and licensing.

Furthermore, within the past two decades, many countries have turned to preferential trade agreements to deepen integration and cooperation in digital trade. For example, Korea– Singapore Digital Partnership Agreement (KSDPA, 2023), US– Japan Digital Trade Agreement (USJPDPA, 2019), the ASEAN Agreement on Electronic Commerce (ASEAN AEC, 2019), Australia–Singapore Digital Economy Agreement (ASDEA, 2020), Digital Economy Partnership Agreement (DEPA, 2020) between Chile, New Zealand, and Singapore or United Kingdom–Singapore Digital Economy Agreement (UKSDEA, 2022).

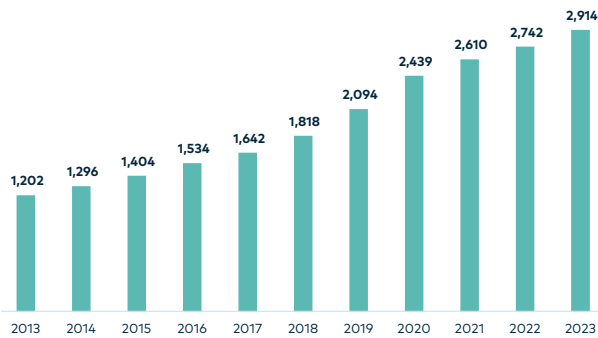
The number of digital policies adopted since January 2020 in Asia-Pacific



The number of digital policies adopted since January 2020 in Asia-Pacific economies | Source: ESCAP, based on the Digital Policy Alert (DPA)

The digital economy in Asia Pacific is ripe for opportunities.

The Asia-Pacific region presents abundant prospects for digital transformation. According to the International Telecommunication Union, the number of individuals using the Internet in Asia Pacific in 2023 accounted for 65.9% (equivalent to 2.9 billion people). Within ten years, it increased by 142.4% which is a significant growth for the digital inclusion goal.



The number of individuals using the Internet in Asia Pacific (2013-2023) | Source: International Telecommunication Union

In terms of digital trade, in 2022, it was observed that the APAC exports of digitally deliverable services amounted to US\$ 3.9 trillion, constituting 55% of the total global services trade. Throughout the same year, the Asia-Pacific region exported digitally deliverable services valued at around US\$ 958 billion, accounting for 52% of the region's total services exports.

The Asia-Pacific region accounts for approximately one-fourth of the worldwide trade in digitally deliverable goods and services. Over the period from 2015 to 2022, the region experienced an annual export growth rate of 9%, outpacing the global growth rate of 6.8%.

Southeast Asia’s digital decade is here.

Southeast Asia’s digital economy has been on a steady growth trajectory in recent years as the region’s users have continued to engage with digital sectors. The signs of digital development are everywhere across SEA, from the popularity of mobile phones, and ride-sharing services to digital platforms that are disrupting all sectors such as e-commerce and Fintech.

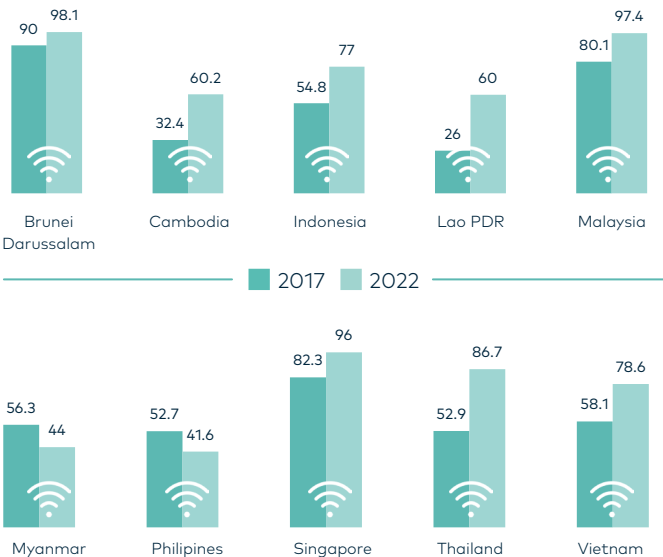
Southeast Asia is on the cusp of a groundbreaking decade, with an unparalleled opportunity to leap forward through technological transformation. The region is primed for extraordinary growth, driven by a perfect storm of advantageous factors: a vibrant, tech-savvy youth eager to innovate; the freedom from outdated legacy systems that often hinder progress; and progressive government policies that actively nurture technological advancement. The strategic shift of the China +1 policy is further enhancing Southeast Asia's attractiveness as a crucial player in the global economy.

In the post COVID-19 era, Southeast Asia has not just adapted but thrived, rapidly adopting digital technologies and mobile solutions in ways that have far exceeded expectations. This accelerated adoption, coupled with a burgeoning startup ecosystem and a surge in tech investment, positions Southeast Asia to not just participate in but lead the next wave of global innovation. With its unique blend of youthful dynamism, policy support, and technological readiness, Southeast Asia is set to emerge as a powerful engine of global growth and innovation.



Izzy Silva
Chief Executive Officer
Acclime

Based on the recent data from the ASEAN Secretariat, there has been a notable rise in the total number of internet users across ASEAN, increasing from 51 per 100 population in 2017 to 72 per 100 population in 2022.

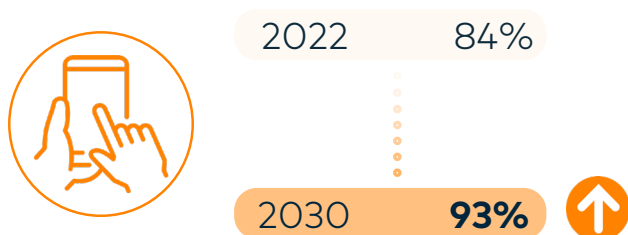


Number of internet subscribers per 100 persons by ASEAN Member States, 2017 and 2022 | Source: ASEAN Statistical Yearbook 2023

“ With over 70% internet penetration among its 670 million population, ASEAN is at the forefront of global digital connectivity. In 2023, revenues from online commerce in the ASEAN region experienced growth rates of 22%.



Percentage of Smartphone adoptions



Source: GSMA Intelligence

Smartphone adoption across Southeast Asia is projected to experience double-digit growth on average until 2030. This surge in smartphone connections is evident throughout the region, with both mature and emerging markets witnessing notable increases in adoption rates. Indonesia leads this trend, with an estimated 388 million smartphone connections by 2030, positioning it among the top three smartphone markets in the Asia Pacific region.

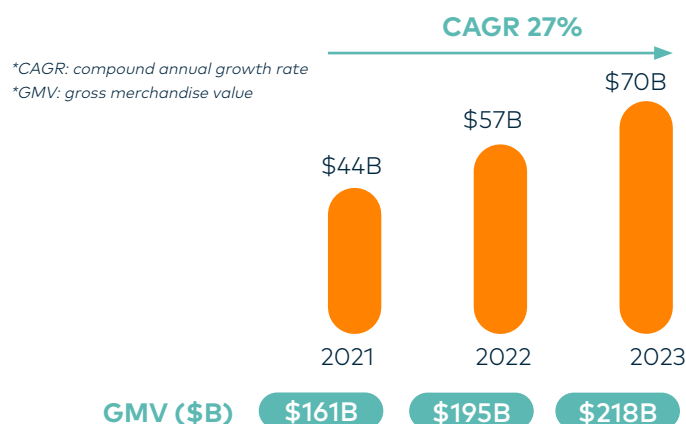
4G adoption remains the dominant technology at a regional level, and 5G continues to scale. In 2023, Singapore led the way in terms of 5G adoption with 29%, driven by the expansion of network coverage, intensified 5G marketing efforts, and the increasing prevalence of 5G devices. Meanwhile, legacy networks (2G and 3G) are on their way to being phased out. For instance, Vietnam shut down the 2G network in December 2023.

Consolidating the foundation for future digital growth.

Southeast Asia's digital economy is developing at an unprecedented pace with internet penetration at over 70% in all countries except for Laos, Myanmar, and Timor-Leste. More and more tech "unicorns" are expanding to the world, and a high level of interest from the region's governments is making the region hotter than ever.

In 2023, the SEA digital economy delivered US\$ 218 billion in revenue, growing at 27% CAGR since 2021 – 1.7X the rate of gross merchandise value (GMV) growth. It is backed by a favorable demographic, room for income growth, and increased urbanisation potential.

Digital economy revenue in 2023 in SEA



Source: e-Conomy in SEA 2023 report

At the current trajectory, the ASEAN Digital Economy will grow 3X to reach US\$ 1 trillion-plus by 2030 propelled by an expanding population of digital consumers and applications, based on a project from the Study on the ASEAN digital economy framework agreement.

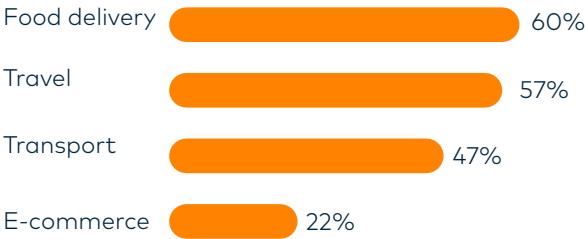
“ 5G will add more than US\$ 133 billion to the APAC economy in 2030 and is gaining momentum across SEA. It presents a favourable opportunity for 5G operators to penetrate the market and establish a strong foothold to capitalize on the upcoming surge in 5G growth.



Rizwan Khan
Managing Partner
Acclime Vietnam

Digital sectors are experiencing revenue growth through strategies such as elevating and diversifying into complementary revenue streams. Among these, food delivery stands out as the leading driver of revenue growth.

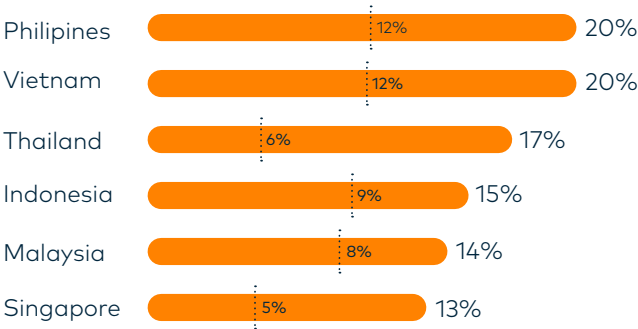
YOY Digital sector's revenue growth in 2023



Source: e-Conomy in SEA 2023 report

Overall, according to Google, Temasek and Bain & Company, the digital economy growth will continue to outpace GDP growth across SEA by 2025.

Digital economy GMV growth vs. GDP growth (2023-2025)



Source: e-Conomy in SEA 2023 report

Cross-border payments play a significant role in the ASEAN digital economy. The member nations have developed various frameworks to support and enhance regional payment connectivity. For example, in November 2022, the central banks of Indonesia, Malaysia, the Philippines, Singapore, and Thailand signed a Memorandum of Understanding (MoU) to collaborate on achieving interoperable regional payment connectivity by 2025. Cross-border QR code transactions eliminate the need for cash or cards, often offering lower transaction fees and more favorable conversion rates compared to traditional payment methods. This technology will soon be implemented in Vietnam and the Philippines.

Explore the age of digital transformation in SEA.

Digital transformation has been a priority for ASEAN since the signing of the e-ASEAN Framework Agreement by its leaders in November 2000. This initiative holds the potential to catalyse innovation and drive productivity gains across the broader economy, transforming public services and enhancing overall well-being through increased access to information, knowledge, and data. In the region, this transformation can shift the development paradigm towards growth driven more by productivity gains on the supply side rather than export-driven demand, enabling countries to move up the value chain.

Moreover, digital transformation presents an opportunity for Southeast Asian nations to address the impacts of climate change. The Study on The ASEAN Digital Economy Framework Agreement estimates that if brought to scale, **digital technologies could potentially create US\$ 12-30 billion in social cost savings.**

One of the key pillars of ASEAN member states is data protection and cybersecurity. ASEAN has recognised as a priority under the ASEAN Framework on Digital Data Governance which strives to promote intra-ASEAN data flows and drive digital economy growth. From manufacturing and services to agriculture and retail, all sectors increasingly rely on data to plug into global value chains and contribute to the global economy. Brunei Darussalam, Indonesia, Malaysia, the Philippines, Singapore, Thailand, and Vietnam have already developed national strategies related to cybersecurity whereas the Philippines was the front-runner in ASEAN in enacting its Data Privacy Act in 2012.

In today's fast-evolving digital landscape, Asia Pacific region stand at the forefront of innovation. The region has already gained recognition as a vibrant epicentre of innovation, propelled by cutting-edge advancements like artificial intelligence, digital finance, GovTech, and the Internet of Things.

VIETNAM ECONOMIC OUTLOOK

Economic Landscape and Future Prospects.

3

In 2023, Vietnam's economy demonstrated resilience and growth despite global uncertainties. The country's GDP grew by 5.05% compared to 2022, driven by a promising services sector. Compared to regional peers, Vietnam remains in a top position as one of the fastest-growing economies in Southeast Asia. Looking ahead for 2024 and beyond, Digital transformation and ESG (Environmental, Social, and Governance) are critical priorities within the global business community. It is imperative for business leaders to comprehend and effectively harness these trends.

Vietnam’s economy snapshot.

In 2023, Vietnam’s economy demonstrated resilience and growth despite global uncertainties. The country’s GDP grew by 5.05% compared to 2022, driven by a promising services sector. Compared to regional peers, Vietnam remains in a top position as one of the fastest-growing economies in Southeast Asia as follows.

Rate of Economic Growth in ASEAN, 2023 (%)			
Country	2023	2024F	
Brunei	1.4	3.1	
Cambodia	5	5.8	
Indonesia	5.05	5.2	
Laos	3.7	4	
Malaysia	3.7	4.6	
Myanmar	0.8	1.2	
Philippines	5.6	6.5	
Singapore	1.1	2.9	
Thailand	2.3	2.8	
Vietnam	5.05	6	

Source: Acclime Vietnam compilation and the Quarterly Global Outlook 2Q 2024 from UOB

Key drivers of this growth included the diversification of industries, particularly in manufacturing, technology, and services, encouraged by favorable demographic trends and a growing middle class. The government’s proactive measures to enhance infrastructure, attract foreign investment, and foster innovation further propelled economic momentum. Additionally, Vietnam’s strategic trade agreements, such as the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) and the EU-Vietnam Free Trade Agreement (EVFTA), expanded market access and facilitated international trade, positioning the country as an attractive destination for global investors. The latest report by GSO stated that Vietnam’s GDP in the first 6 months of 2024 increased by 6.42% which is a positive sign amidst the global headwinds.

Following the Quarterly Global Outlook 2024, UOB maintains its growth forecast for Vietnam at 6.0% for 2024 because they believe that Vietnam’s prospects are bolstered by the recovery in the semiconductor cycle, stable growth in China and the region, as well as supply chain shifts that are in favor of Vietnam and ASEAN.

Moreover, the UOB Business Outlook Study 2024 (SMEs & Large Enterprises) indicates that nearly half of the businesses surveyed view the current environment as highly favorable. The most optimistic sectors are business services, with 58% expressing positivity, and industrials, oil, and gas, at 54%.

Vietnam’s economic growth is fueled by several key factors. Firstly, the country has made strategic investments in infrastructure, such as building roads, bridges, and ports, which help businesses operate more efficiently. Secondly, Vietnam has a young and energetic workforce that is eager to work and learn new skills. This makes the country an attractive place for companies looking to hire employees. Thirdly, Vietnam offers a business-friendly environment with policies that encourage foreign companies to invest in the country. Additionally, Vietnam is committed to embracing new technologies and fostering innovation, which helps it stay competitive in the global market. All these elements combined have made Vietnam an emerging star in the world economy.



Thao Do
Partner
Acclime Vietnam

Vietnam today: industries at a glance supported by consistent FDI flow.

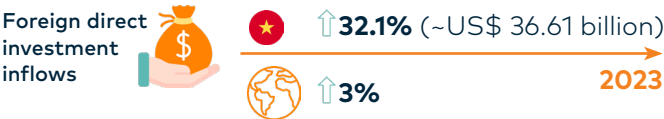
Industries in Vietnam are exhibiting varied performance trends. In the first six months of 2024, the agricultural sector's added value increased by 3.38% compared to the previous year, while the industrial and construction sector saw a 7.51% increase, and the service sector grew by 6.64%.

In the wholesale and retail sector, performance has improved compared to 2022. According to the General Statistics Office (GSO), retail sales of consumer goods and services at current prices reached 231.8 trillion VND in 2023, marking a 9.6% increase from 2022. In the first six months of 2024, wholesale and retail sales amounted to 3,098.7 trillion VND, an 8.6% increase over the same period last year.

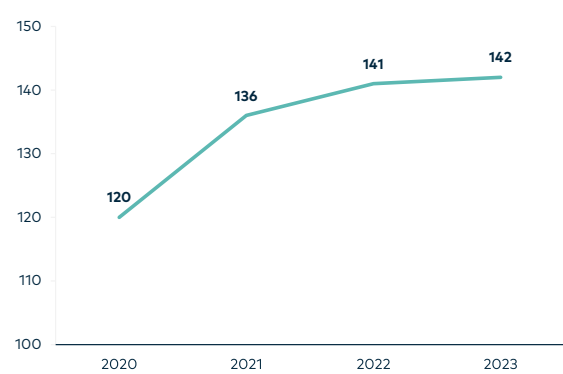
Additionally, the surge in internet usage is expected to drive growth in the information and communication industry. Vietnam's information and communications sector generated revenue exceeding VND 3.7 quadrillion (US\$ 154 billion) in 2023, reflecting a year-on-year increase of 1.49%, according to figures from the Ministry of Information and Communications.

The 2023 annual report on foreign investment in Vietnam, published by the Vietnam Association of Foreign Invested Enterprises (VAFIE), highlights that Vietnam continues to be an appealing destination for foreign direct investment (FDI). Currently, over 49,000 foreign enterprises are actively operating within the country.

In 2023, foreign direct investment inflows to Vietnam surged significantly, reaching US\$ 36.61 billion, representing a robust 32.1% year-on-year increase. In contrast, global capital witnessed only a marginal 3% growth during the same period.



According to the Ministry of Information and Communications, in 2023, notable advancements were observed in the ICT sector, as evidenced by its robust performance. The industry recorded a revenue of US\$ 142 billion, representing a 2% increase compared with 2022. Moreover, approximately 1,500 digital technology enterprises generated revenue from international markets, marking a nearly 4% rise compared to the figures reported in 2022.



ICT revenue in Vietnam from 2020-2023 (\$B) | Source: Ministry of Information and Communications

According to the UOB Business Outlook Study 2024, which surveyed 525 business owners and key executives from SMEs and large enterprises in Vietnam, UOB discovered that 89% of the businesses are interested in expanding overseas in next three years. Vietnam is emerging as one of the most compelling destination for international enterprises seeking dynamic markets to expand their operations.

Looking ahead, the anticipated FDI surge will concentrate on high-tech sectors such as semiconductors, electronics, artificial intelligence (AI), and renewable energy. These strategic investments aim to elevate Vietnam's economic value chain and foster sustainable long-term growth.

Digital economy - engine for growth.

In recent years, Vietnam has experienced significant growth in its digital sectors, achieving double-digit compound annual growth rates (CAGR). This expansion holds the potential to elevate the country to the status of Asia's next high-income economy

According to the Ministry of Information and Communications (MoIC), the digital economy accounted for 12% of GDP in 2020 and grew to 16.5% by 2023. Vietnam's digital economy is forecasted to account for 30% of GDP by 2030.

The global digitalisation trend emboldened the manufacturing sector in Vietnam to speed up its advancements in productivity improvements and digital transformation. This shift towards digitalisation has aligned the production sector in Vietnam with the active cross-border e-Commerce sector.

In 2023, B2C e-commerce revenue in Vietnam reached US\$ 20.5 billion, constituting approximately 7.8-8% of the total nationwide retail sales for goods and consumer services, based on the insight from Vietnam E-Commerce and Digital Economy Agency.

The consistent growth of the digital economy, the rise of e-Commerce and cross-border trade platforms continue to underpin the foundational factors for Fintech growth in the Vietnamese economy. As reported by Google, Bain & Company, and Temasek, the gross transaction value (GTV) for digital payments, including the value of credit, debit, prepaid card, account-to-account (A2A), and e-wallet transactions in Vietnam in 2023, grew to US\$ 126 billion, representing a 19% increase compared to 2022. Overall, cashless payments in Vietnam continue to flourish, backed by robust government support, substantial investments from commercial banks, and the widespread adoption of QR codes.

Looking ahead – 2024 and beyond.

Digital transformation and ESG (Environmental, Social, and Governance) are critical priorities within the global business community. It is imperative for business leaders to comprehend and effectively harness these trends.

In Vietnam, these two trends will continue to be closely intertwined, as digital transformation has already demonstrated tangible and measurable benefits in promoting environmental sustainability and enhancing human well-being.



DECONSTRUCTING VIETNAM'S DIGITAL ECONOMY

Where Opportunity Meets Fundamentals.

4

The digital economy in Vietnam has exhibited remarkable growth and vitality, outpacing traditional GDP metrics and presenting an enticing window of opportunity for investors seeking dynamic markets with significant potential for returns. This rapid expansion is driven by a convergence of factors including robust technological infrastructure, increasing internet penetration, and a young, tech-savvy population eager to embrace digital innovations. Sectors such as e-Commerce, fintech, digital media, and technology-driven services have flourished, fueling job creation, entrepreneurship, and economic development.



The increasing digitalization of the global economy and society is fundamentally altering the ways in which people interact and conduct business. In recent years, Vietnam has experienced rapid growth in its digital sectors, achieving double-digit compound annual growth rates (CAGR). This growth holds the potential to transform Vietnam into Asia's next high-income economy and significantly elevate the living standards of its citizens in the coming decades.

As a seasoned investor in technology, Binh Tran, General Partner of AVV observed that the birth of Vietnam's digital economy occurred in the past decade, backed by significant milestones:

2016:

Project 844 supporting tech and innovation startups



One pivotal moment was the implementation of Project 844 in 2016, which aimed to support the national startup ecosystem with a focus on technology and innovation. Project 844 provided a framework for nurturing startups, particularly in emerging tech fields, by offering financial support, fostering research and development, and promoting international cooperation. This project has been instrumental in catalyzing the growth of Vietnam's vibrant startup ecosystem, particularly in tech-driven sectors.

2020:

National Digital Transformation Program



In 2020, the Vietnamese government introduced the National Digital Transformation Program, further solidifying the country's commitment to digital transformation. This policy set even more ambitious targets, aiming for the digital economy to account for 30% of GDP by 2030. The strategy encompasses a broad range of initiatives, from expanding digital infrastructure to enhancing digital literacy, reflecting the government's long-term vision for a fully integrated digital society.

2020-2021:

COVID-19, an accelerant for Vietnam's digital economy



The COVID-19 pandemic served as an accelerant for Vietnam's digital economy, particularly in the e-commerce sector. With restrictions on physical interactions, consumers increasingly turned to online platforms for their shopping needs, leading to a boom in e-commerce. Companies like Shopee and Lazada saw exponential growth during this period, highlighting the sector's potential and resilience in times of crisis.

The premise for developing Vietnam's digital economy.

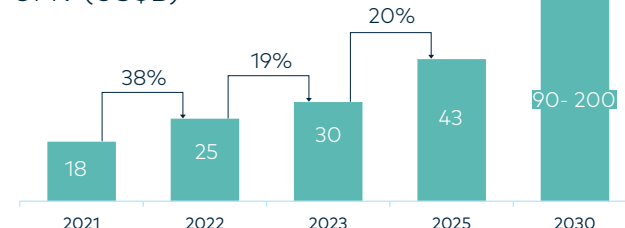
Digital growth was upended with the onset of COVID-19

Research from publicly available data reveals that the total gross merchandise value (GMV) of Vietnam's digital economy is expected to surge 20%, leaping from US\$ 30 billion in 2023 to US\$ 43 billion in 2025. In the period 2021 to 2023, Vietnam achieved an impressive 66.7% growth. In comparison, Thailand experienced a CAGR of 20%, Malaysia's CAGR stood at 21%, and Indonesia's CAGR reached 30.1%.

Vietnam's digital economy experienced significant acceleration due to the COVID-19 pandemic, leading to the emergence of new digital businesses and forcing traditional brick-and-mortar enterprises to pivot online. This period also witnessed millions of Vietnamese embracing virtual platforms for e-Commerce, digital banking, entertainment, and education purposes.

The overall digital economy in Vietnam

GMV (US\$B)



Source: *The e-Economy in SEA 2023 Report*

Policies supporting the digital economy in Vietnam

The Vietnamese Government recognizes digital transformation as a crucial driver for sustained economic growth and prosperity. Currently, various agencies are charged with supporting and regulating different facets of Vietnam's digital economy.

Over the years, the Vietnamese government has enacted several laws to oversee the digital economy. The implementation of these laws is governed by decrees and decisions that provide specific guidance. Notably, Decision No.411 approving the national strategy for the digital economy and society development by 2025, and the Decision No. 749 in 2020 on national digital transformation program through 2025, as well as other Vietnam's Free Trade Agreements such as ASEAN, CPTPP.

Vietnam digital growth profile.

With an average GDP of US\$ 4,284 per capita, Vietnam is classified as a lower middle-income economy. The country has traditionally prioritized resilience and sustainability over the approaches of wealthier nations. However, there remains significant potential for improvement in areas such as inclusiveness and innovation.

Digital sectors overview

The cloud market in Vietnam is on the rise with an annual growth of 17% in 2022 and Vietnamese enterprises account for 20% domestic market share.

Cloud revenue forecast in Vietnam	
2022	Growth rate
459 MILLION US\$	ANNUAL APPROXIMATE 17%

Source: FPT Digital

The Internet of Things (IoT) sector is experiencing rapid growth in Vietnam. According to reports from GSMA Intelligence, the number of IoT devices in the country is projected to surge from 21 million in 2018 to an estimated 96 million by 2025.

IOT market in Vietnam

↑ **24.03%**

The range expected to grow at a CAGR

>2 BILLION US\$

2019

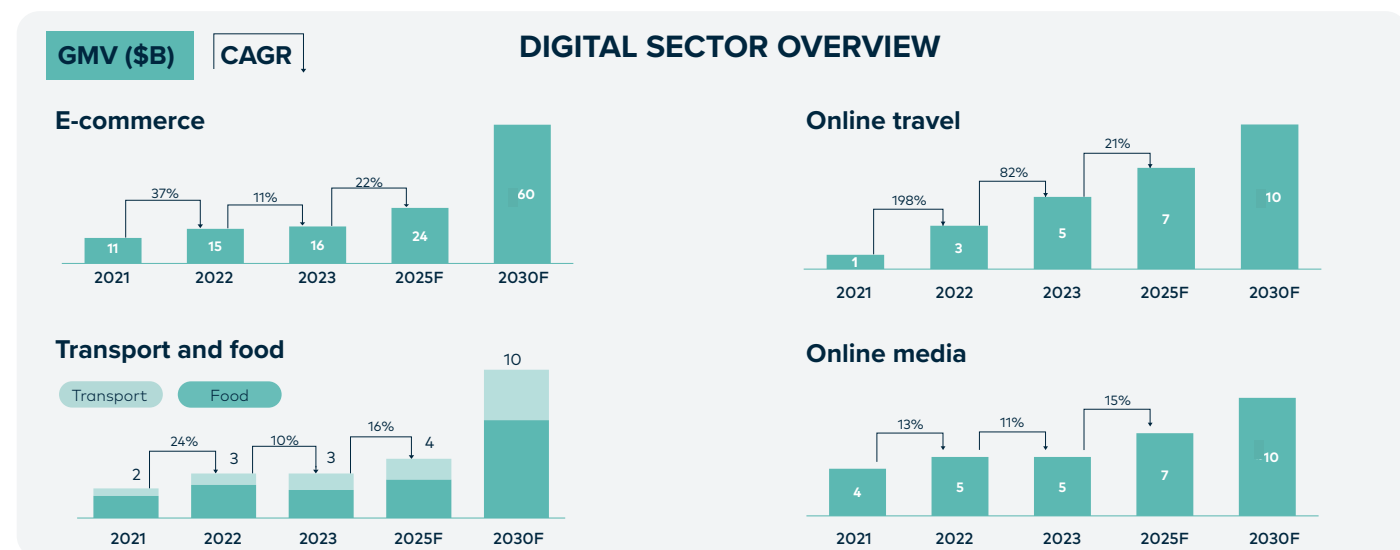
7.3
BILLION US\$

2025

Source: FPT Digital

Vietnam's e-Commerce sector has demonstrated resilience, persisting even after experiencing significant growth during the pandemic and its aftermath. However, buoyed by the growing digital-savvy population, the market is still expected to reach US\$ 24 billion by 2025.

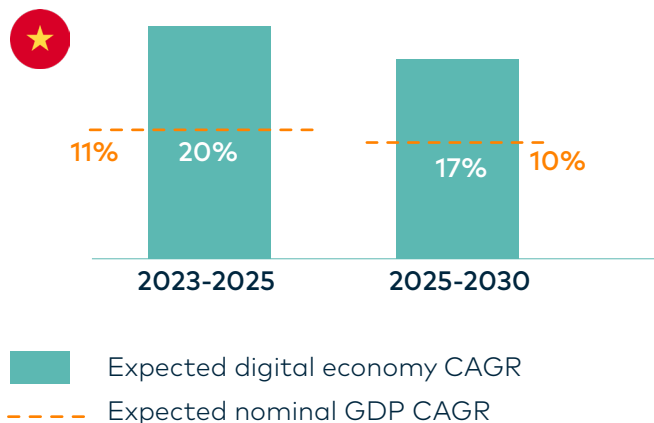
Digital travel, transportation, food services, and media sectors in Vietnam are also expanding. Particularly, online travel has seen exponential growth since 2021, achieving a remarkable 280% Compound Annual Growth Rate (CAGR).



Source: The e-Economy in SEA 2023 report

The window of opportunity.

Digital economy GMV vs GDP growth



Source: The e-Conomy in SEA 2023 report

The digital economy in Vietnam has exhibited remarkable growth and vitality, outpacing traditional GDP metrics and presenting an enticing window of opportunity for investors seeking dynamic markets with significant potential for returns. This rapid expansion is driven by a convergence of factors including robust technological infrastructure, increasing internet penetration, and a young, tech-savvy population eager to embrace digital innovations. Sectors such as e-Commerce, fintech, digital media, and technology-driven services have flourished, fueling job creation, entrepreneurship, and economic development.

In addition to e-Commerce, Vietnam's fintech sector continues to flourish, backed by strong support from the government, incentives, and the widespread popularity of QR codes.

The digital media and technology services sectors also present compelling investment prospects. As digital content consumption continues to soar, fueled by increasing smartphone adoption and internet usage, opportunities abound for investors in areas such as digital advertising, streaming services, online gaming, and software development. Vietnam's growing pool of tech startups and innovation hubs further augments the investment landscape, offering avenues for strategic partnerships and venture capital funding.

Moreover, the Vietnamese government's proactive stance towards digital transformation through policy support and infrastructure development underscores the long-term sustainability and growth potential of the digital economy. Investors looking to capitalize on Vietnam's digital growth story can leverage these supportive policies and favorable market conditions to diversify their portfolios and capture value in one of Southeast Asia's most dynamic and promising markets.

“ Vietnam's digital economy presents a wide array of promising investment opportunities, with FinTech standing out as a particularly vibrant sector. In addition to the rise of agent-based networks, the demand for SME financing remains massive but underserved. HealthTech also continues to show strong potential, driven by increasing demand for better healthcare services. The success of digital health platforms during the pandemic, has demonstrated the appetite for telemedicine and digital health solutions. To sum up, another sector with significant potential is GreenTech, which is increasingly coming into focus as Vietnam undergoes an energy transition and implements policies aimed at sustainable development.



Binh Tran
General Partner
AVV



VIETNAM'S DIGITAL TRANSFORMATION SNAPSHOT

Current Landscape, Strategic Plans, and Future Growth Drivers.



Vietnam's journey of digital transformation is poised to become mainstream in the coming years, with significant potential for further expansion. As the country continues to embrace digital technologies and innovations, a wide range of industries and sectors are expected to undergo profound changes and advancements.

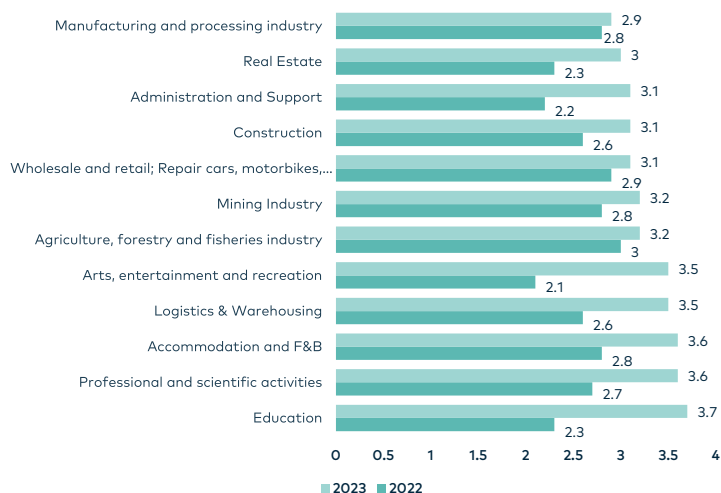
Vietnam's commitment to digitalisation is seen in the number of policies, master plans, and directives published over the last 30 years. The main focus of these is to develop critical infrastructure, build the ICT industry, promote e-commerce, and adopt technology as a means of lifting productivity. These plans demonstrate Vietnam's commitment to embracing digital transformation and leveraging technology to drive economic growth, improve governance, and enhance overall societal well-being.

The present stage of Digital Transformation in Vietnam.

Over the years, Vietnam has been undergoing technological transformation that will empower Vietnam to become a developed nation with high income based on the National Master Plan for the 2021-2030 period with a vision to 2050.

The impact of digital transformation is becoming increasingly apparent in the lives of Vietnamese citizens. Vietnam's youthful demographic is swiftly embracing new mobile internet services, while the government is enacting comprehensive Industry 4.0 initiatives to catalyse the modernization of key industries and foster the development of emerging sectors.

Numerous enterprises are actively engaged in digitising data, standardising processes, and expediting the adoption of digital technologies, advancing towards broader and more coordinated digital transformation efforts. According to the recently released Annual Report on Digital Transformation 2023 by the Ministry of Planning and Investment (MPI) and the German Agency for International Cooperation (GIZ), there has been a notable enhancement in businesses' digital transformation readiness scores. These scores have increased by 0.7 to 1.4 points compared to the previous year, reaching 2.5 points.

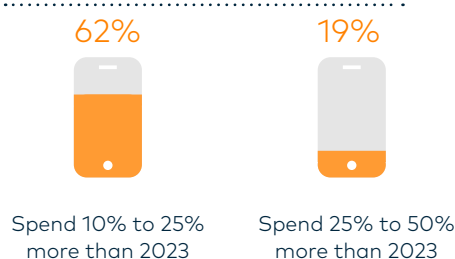


Digital readiness by Industry | Source: The Agency for Enterprise Development

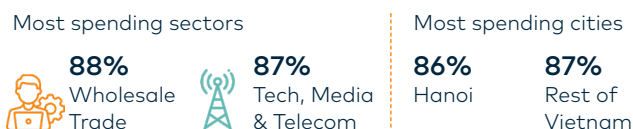
In 2023, several industries demonstrated significant improvements in digital readiness compared to the previous year. Notably, the Education industry outperformed all other sectors, securing the top position on the readiness list. Industries such as Professional and Scientific Activities, Accommodation and Food & Beverage, and Logistics & Warehousing also experienced substantial growth in their digital readiness.

When interviewing 525 business owners and key executives from SMEs and Large Enterprises in Vietnam (data collection from Dec 2023 to Jan 2024), UOB Vietnam found that 87% have adopted digitalisation in their business. Moreover, over 8 in 10 businesses in Vietnam are planning to spend more on their digitalisation efforts in 2024, with most budgeting an increase of 10% to 25%.

Digitalisation spending in 2024



Most digitalisation spending in 2024



Source: UOB Business Outlook Study 2024 (SMEs & Large Enterprises)

It can be said that Vietnamese digital-native firms have cultivated the technical expertise and gained access to skilled personnel necessary to facilitate endeavors such as establishing global supply chains, managing cloud infrastructure, implementing risk diversification strategies, and optimising performance.

Vietnam's journey of digital transformation is poised to become mainstream in the coming years, with significant potential for further expansion.

As the country continues to embrace digital technologies and innovations, a wide range of industries and sectors are expected to undergo profound changes and advancements. This transformation promises to bring about substantial improvements in efficiency, connectivity, and competitiveness across various domains, paving the way for enhanced economic development and societal progress.

Significant National Plans towards a digital future.

- **2024:** Decision 36/QĐ-TTg signals a pivotal step in Vietnam's digital transformation.
- **2023:** Vietnam's National Assembly promulgated Law 24/2023/QH15 on Telecommunications (the "New Telecoms Law")
- **2022:** Decision 06/QĐ-TTg of the Prime Minister on the issuance of the decision on approving the scheme for the application of population data, e-identification, and e-authentication to national digital transformation in the 2022-2025 period, with a vision by 2030.
- **2021:**
 - Decision 942/QĐ-TTg approving the e-government development strategy towards the digital government in the 2021-2025 period, with a vision to 2030
 - National Strategy on the Fourth Industrial Revolution by 2030
 - The Minister of Planning and Investment approved the programme "Supporting enterprises" digital transformation from 2021 to 2025.
- **2020:** Decision 749/QĐ-TTg 2020 national digital transformation program through 2025.

Vietnam's commitment to digitalisation is seen in the number of policies, master plans, and directives published over the last 30 years. The main focus of these is to develop critical infrastructure, build the ICT industry, promote e-commerce, and adopt technology as a means of lifting productivity. These plans demonstrate Vietnam's commitment to embracing digital transformation and leveraging technology to drive economic growth, improve governance, and enhance overall societal well-being.

Key growth drivers expanding the digital economy.

Vietnam's digital transformation is propelled by policies that encourage innovation and support startups. According to data from the Ministry of Science and Technology, Vietnam is home to:

3,800 » 11 valued at over **\$100B**
startups with » 3 valued at over **\$1B**

The thriving local entrepreneurial ecosystem increases the likelihood of Vietnam successfully digitalising and harnessing the advantages of digital transformation (Source: According to data from the Ministry of Science and Technology).

The COVID-19 pandemic has sped up digitalisation, with an increasing number of Vietnamese individuals embracing e-commerce platforms, digital financial services, online education, and remote work. Despite the pandemic's conclusion, it has fundamentally altered social behaviors. According to a 2023 survey conducted by SAPO, among:

15,000 » 44% accept payments via bank transfer
sellers nationwide » 15.3% have implemented a valid VietQR code for customer bill payment

This shift has presented new opportunities for numerous businesses, prompting them to accelerate digital transformation initiatives and introduce new services to cater to this evolving demand.

The rise in middle-class spending power represents a significant catalyst driving opportunities within Vietnam's digital economy. This trend encompasses heightened demand for ICT products, digital tourism, and services delivered via digital platforms. For instance, compared to 2019, in 2023:

 **klook** » reached **109%** growth
» spending per foreign travel booking increased **44%**

To meet evolving preferences for personalised experiences, products, and services can leverage big data to offer tailored solutions.

The implementation of free trade agreements serves as a key motivator for Vietnam's digital transformation. Vietnam has actively engaged in numerous international trade agreements, leveraging these partnerships and platforms to attract investment and highlight its progress and ambitions in the digital economy. For instance, in 2021, Vietnam and Singapore established a joint technical working group on Digital Partnership to explore the feasibility of a bilateral digital economy agreement. This initiative opens a strategic opportunity for Vietnam to collaborate with other partners in shaping digital trade regulations within the WTO and across regional frameworks.

Vietnam's young population is rapidly embracing new mobile internet services which will fuel the increasing demand for digital transformation.

Vietnam's enthusiasm for digital transformation has been steadily increasing. From 2019 to 2023, all key indicators related to business, innovation, digital infrastructure, and human resources have shown significant progress. In the Global Innovation Index, Vietnam has emerged as **one of the most impressive innovation climbers of the past decade, securing the 46th position**. This achievement reflects the country's robust policies and initiatives that support research and development, technological advancements, and creative enterprises. Additionally, in the Network Readiness Index, Vietnam is ranked **56th out of 134 nations, demonstrating a strong readiness to leverage information and communication technologies (ICT)**.

Notably, the digital infrastructure in Vietnam is growing and reflects widespread internet connectivity and mobile phone usage, indicating a well-established digital foundation that supports the country's socio-economic activities and digital services. Moreover, the Internet growth in Vietnam is expected to increase continuously, reaching a new peak of around 99.71 million users by 2028, Statista forecasted.

Overall, the country's strategic initiatives and policies have facilitated a conducive environment for technological advancements and digital inclusivity. As Vietnam continues to invest in these domains, it is well-positioned to further its growth as a competitive economy on the global stage.

Evolving trends indicate maturity and growth.

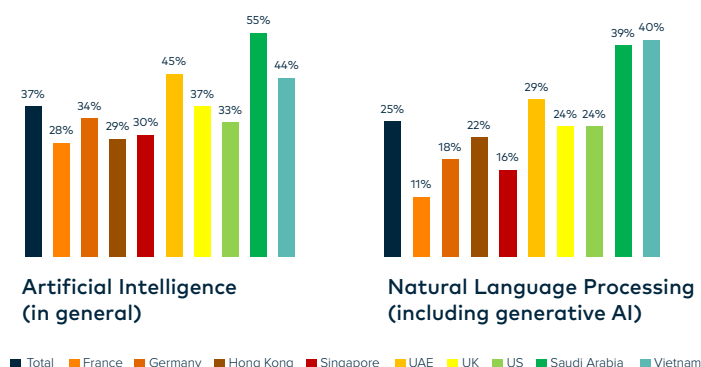
Increasing need for cybersecurity and privacy

Cybersecurity and privacy are the springboard of digital transformation. Ensuring robust cybersecurity and safeguarding privacy are paramount for building trust, complying with regulations, preventing financial losses, protecting intellectual property, and fostering technological innovation.

As reported by the Vietnam National Cyber Security Technology Joint Stock Company, in 2023, Vietnam witnessed approximately 13,900 cyberattacks targeting systems nationwide that targeted businesses on digital operations or online services. To tackle the raising significant concerns about information security and the protection of personal user data, the government issued Decree No. 13/2023/ND-CP on Personal Data Protection (Decree 13) on 17 April 2023. Decree 13 is a landmark legal instrument that integrates all of Vietnam's disparate data protection legislation.

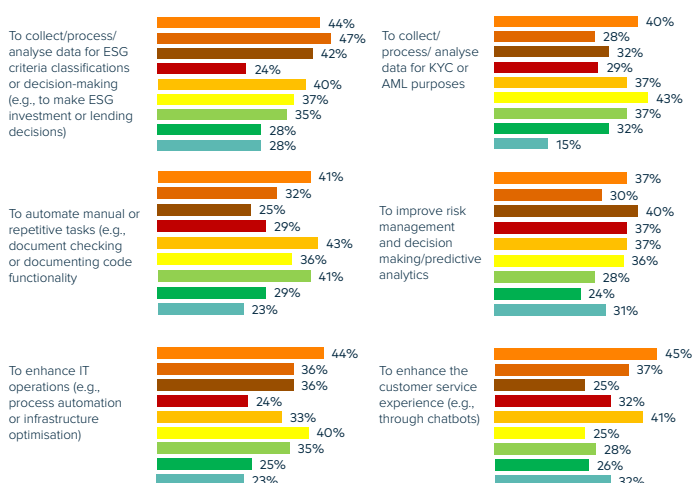
Generative AI is advancing

Generative AI, a new trend in the technological landscape, has made a significant impact and demonstrated its potential for transformative business applications. In the Vietnamese business context, generative AI holds the potential to facilitate the development of new products and personalized marketing campaigns, while also enhancing customer experience and omnichannel strategies. Moreover, it boosts production capacity in essential sectors such as banking, manufacturing, retail, and agriculture. In line with the Finastra Financial Services State of the Nation Survey 2023, 40% of Vietnamese respondents are pursuing it most aggressively, followed by Saudi Arabia 39%.



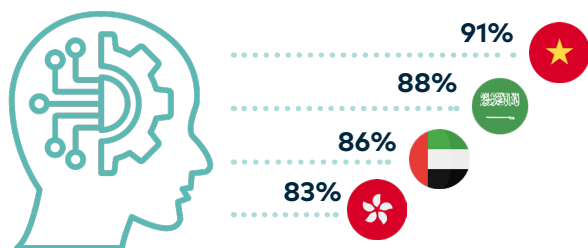
AI improved or been deployed by organisations in the last 12 months | Source: Finastra Financial Services State of the Nation Survey 2023

Vietnamese decision-makers showed interest in generative AI. They said that they have been either using it or planning to use it to provide enhanced customer service (e.g. through personalised chatbots), enhance IT operations (e.g. process automation or infrastructure optimization), and collect/process/ analyze data for ESG criteria classifications by 45%, 44%, 44% respectively.



Generative AI use cases (current and planned), by market | Source: Finastra Financial Services State of the Nation Survey 2023

For most financial firms, generative AI implementation is a pressing priority. 91% of decision-makers from most financial institutions in Vietnam are implementing or being open to the technology while Saudi Arabia (88%), the UAE (86%), and Hong Kong (83%).



Statista Market Insights estimated that the Vietnamese generative AI market will reach over US\$ 100 million in 2024.

The potential growth of generative AI in Vietnam is substantial. As Vietnamese businesses increasingly adopt generative AI technologies, they are poised to unlock new opportunities, redefine value chains, and sustain competitive advantages in the digital age. With supportive government policies and a growing focus on digital transformation, Vietnam is well-positioned to harness the full potential of generative AI, driving economic growth and technological advancement.

Sustainability is a business mandate

In recent years, sustainability has evolved from being a mere buzzword to a fundamental business mandate in Vietnam. This shift is driven by the growing demands of both investors and customers who increasingly prioritise environmental and social responsibility in their decision-making processes.

Investors are playing a pivotal role in shaping the sustainability agenda in Vietnam. They are recognising that sustainable practices are not only ethical but also financially beneficial in the long term. This realisation has led to a surge in demand for businesses that adhere to sustainable practices.

Vietnamese consumers are becoming more conscious of the environmental and social impact of their purchasing decisions. This heightened awareness is compelling businesses to adopt sustainable practices to meet customer expectations. Several trends illustrate this shift such as a preference for eco-friendly products, and increasing transparency and accountability.

Smart industrial parks

A smart industrial park is a modern, technology-driven industrial zone that leverages advanced digital technologies and sustainable practices to enhance efficiency, productivity, and environmental performance. To thrive and sustain long-term growth, businesses must engage in a technological race to enhance their production models. Consequently, smart industrial parks will become an ideal destination for creating competitive advantages.

According to a report from the Ministry of Planning and Investment, Vietnam now has 416 industrial parks and more than 1,000 industrial clusters, contributing to around half of the country's export turnover.

Remarkably, Vietnam Singapore Industrial Park J.V. Co. (VSIP) worked with nine provinces to develop smart and sustainable industrial parks in Vietnam in 2023. Sembcorp, one of the principal drivers of the Vietnam-Singapore economic partnership stated that "Sembcorp and Becamex have committed to modeling the next generation of VSIPs as smart and sustainable industrial parks. The application of the Internet of Things will provide intelligent monitoring, analysis, and optimization of infrastructure performance remotely, making the industrial park safer, more reliable, and more efficient for tenants and employees. Beyond the operational fundamentals, investments are being made on carbon footprint reduction to champion the causes of VSIPs' manufacturers."



To attract high-quality investment capital in sectors such as digital and green economies, chips, semiconductors, and innovative material industries, Vietnam's Ministry of Planning and Investment has proposed a new law on industrial parks. This law includes suggested preferential policies regarding taxes, fees, and capital investments for these zones

As Vietnam's industrial parks continue to advance, the future appears promising. Key trends such as the adoption of sustainable practices, technological innovations, and industry diversification will shape the landscape, positioning Vietnam as a preferred destination for strategic investments in industrial development.



“ The digital economy in Vietnam brings significant of opportunities for international investors, however challenges still exist. The regulatory framework effectiveness and complex business environment should be top of mind for investors seeking to create value in the digital space in Vietnam, together with an innovative and lean commercial mindset of doing business.

As Vietnam is progressing toward its next stage of development as a global supply chain leader focused on hi-tech, consistent investments in the broad digital space specifically in innovative products and services become essential.

To succeed in the Vietnamese market, investors should seek to synergise their international best practices and commercial practices that made them successful in the first place, with a solid, practical understanding of the Vietnamese business environment and regulatory context.



Vlad Savin
Partner
Acclime Vietnam

DIGITAL TRANSFORMATION

The Way to Sustainable Development.

6

Digital technology will play a crucial role in helping Vietnam meet its ambitious goal of achieving net-zero emissions by 2050.

Apart from that, the Vietnamese authorities are establishing regulatory standards to support green investments, long-term investors such as the National Green Growth Strategy (VGGS), launched in 2012 (updated in 2021), serves as a roadmap for transitioning to a green economy. Additionally, customers and employees are increasingly environmentally conscious, favouring brands and employers that align with their values.

As the Vietnamese authorities are establishing regulatory standards to support green investments, long-term investors and financial managers are integrating sustainability criteria into their investment decisions. Additionally, customers and employees are increasingly environmentally conscious, favouring brands and employers that align with their values.

Insights from the UOB Business Outlook Study 2024 reveals that 54% of businesses in Vietnam believe that adopting sustainable business practices attracts more investors and 45% think it easier to work with MNCs.

According to the ASEAN Consumer Sentiment Study (ACSS) in 2023, conducted by UOB, Vietnam is one of the countries taking the lead in supporting brands that are sustainable, local, and green-certified. Around 73% of respondents said that they support brands that follow sustainable practices while 70% will support companies that are 'green-certified'. These findings highlight a growing consumer awareness and preference for sustainability. Brands that prioritize eco-friendly practices and obtain green certifications are likely to gain favour among consumers.



The ASEAN Consumer Sentiment Study (ACSS) in 2023 | Source: UOB

Green growth in Vietnam.

Green growth in Vietnam has emerged as a critical component of the country's sustainable development strategy, aligning economic growth with environmental sustainability. As one of the fastest-growing economies in Southeast Asia, Vietnam faces significant challenges related to environmental degradation, climate change, and resource depletion. To address these issues, the Vietnamese government has embraced green growth as a strategic approach to ensure long-term prosperity while minimising environmental impacts.

The Vietnamese government has introduced several key policies and initiatives to promote green growth. The National Green Growth Strategy (VGGS), launched in 2012 (updated in 2021), serves as a roadmap for transitioning to a green economy. This strategy emphasizes reducing greenhouse gas emissions, increasing the use of renewable energy, and enhancing energy efficiency across various sectors. It also focuses on promoting sustainable agriculture, protecting natural resources, and fostering green technology and innovation. Moreover, the country is investing in sustainable urban development, promoting green infrastructure, and enhancing waste management systems. The adoption of green building standards and the development of eco-industrial parks are examples of how Vietnam is integrating environmental considerations into its economic planning.

As a result, Vietnam has made significant progress in implementing its green growth strategy over the years as follows:

- According to the 2022 Green Growth Index, Vietnam ranks 73rd out of 157 countries and 16th out of 45 in Asia.
- Vietnam's green economy is expected to reach 300 billion US\$ by 2050, Minister of Planning and Investment stated in the conference "Promoting green growth in Vietnam: Roadmap to Success".

Promoting green growth through digital transformation offers Vietnam a unique opportunity to achieve sustainable development, enhance labor productivity, and improve the quality of life for its citizens. By leveraging digital technologies, Vietnam can modernise its economy, reduce its environmental footprint, and build a more inclusive and resilient society. However, realising this potential will require a coordinated effort from all stakeholders, including the government, businesses, and civil society. With the right strategies in place, Vietnam can become a leader in green growth and digital transformation, setting an example for other developing countries to follow.

Green tech. A new engine for green growth

As a developing country with low-cost labor and a large agricultural sector, Vietnam has a crucial role to play in the global carbon economy. The government's commitment to transitioning to renewable energy sources and reducing carbon emissions has opened up opportunities for startups specialising in clean energy, energy efficiency, and sustainable agriculture.

Additionally, much of Vietnam's population resides in low-lying cities that are highly susceptible to the impacts of global warming. This vulnerability creates a strong impetus for innovation in climate resilience and adaptation technologies, which are essential for mitigating the effects of climate change on urban populations. Startups focusing on GreenTech solutions that address these challenges will not only contribute to Vietnam's sustainable development goals but also tap into a growing global market for environmental technologies.

Digital transformation for a more sustainable Vietnam.

Digital transformation is not just a means of modernising the economy; it also offers powerful tools for promoting green growth. This section explores the specific ways in which digital transformation can drive environmental sustainability and support Vietnam's green growth objectives.

Digital Government: Enhancing public services and governance

The foundation of a digital government lies in the efficient use of technology to enhance public services and governance. Vietnam's government has been proactive in adopting digital solutions to streamline administrative processes, improve transparency, and foster citizen engagement. Initiatives such as e-Government portals and digital public services are reducing bureaucratic inefficiencies and making government services more accessible to the public. This not only enhances governance but also reduces the environmental footprint associated with traditional paper-based processes.

The Vietnamese government has set ambitious targets for its digital transformation. By 2025, Vietnam aims to be among the top 50 in the UN E-Government Development Index, as part of its National Digital Transformation Program. The digital government initiative is built on four key components:



Digital Economy: Driving green innovations

The digital economy offers vast potential for green innovations and the development of sustainable business models. It is a critical driver of green growth, enabling businesses in Vietnam to optimise their operations, reduce waste, and enhance resource efficiency. The adoption of e-commerce, digital payment systems, and smart logistics solutions is transforming traditional business models, leading to significant reductions in carbon emissions. Moreover, the rise of digital startups and innovation hubs is fostering a culture of entrepreneurship and technological advancement, contributing to economic growth while minimising environmental impact.

Technologies such as artificial intelligence (AI), the Internet of Things (IoT), and blockchain can be leveraged to optimise resource use, reduce waste, and promote circular economy practices.



One of the pivotal technologies in this regard is cloud computing. By migrating from on-premises data centers to cloud-based systems optimized for hyper-scale efficiencies, companies can significantly reduce their direct energy consumption. Cloud computing not only lowers the carbon footprint but also supports the integration of big data, AI, and ML, further enhancing operational efficiencies. Also, the Internet of Things (IoT) is revolutionizing business operations, enhancing efficiency, and driving sustainability. In Vietnam, organizations are increasingly focused on boosting productivity and meeting sustainability targets. According to the Ministry of Information and Communications, the IoT market in Vietnam reached over US\$ 2 billion in 2019 and is projected to grow to US\$ 7 billion by 2025.



Achieving Net-Zero emissions by 2050

“ Digital technology will play a crucial role in helping Vietnam meet its ambitious goal of achieving net-zero emissions by 2050. First, digital tools like precision farming, remote sensing, and data analytics can drive sustainable agriculture whereby they can optimise resource use and reduce emissions in the agricultural sector. Second, smart city technologies like IoT sensors, AI, and cloud computing can enhance energy use, reduce waste, and improve resilience in urban areas. As sea levels rise, digital tools will be critical for monitoring and mitigating climate risks in vulnerable cities like Ho Chi Minh City. Third, digital technologies like digital twins, predictive maintenance, and industrial IoT can improve energy efficiency and emission reductions in factories and manufacturing facilities. Finally, Fintech solutions can mobilise capital for climate action by enabling green bonds, carbon markets, and climate risk disclosure. Overall, Vietnam will need to invest in digital infrastructure, build data-sharing frameworks, and upskill its workforce in fields such as data science and AI to fully harness the potential of digital technology to achieve the net-zero emission goal.



Huy Pham

Senior lecturer in Finance at RMIT University Vietnam, CFO at GreenAnt, Founder of RMIT FinTech-Crypto Hub

Enhancing ESG data collection and analysis

One of the key benefits of digital transformation is the enhancement of Environmental, Social, and Governance (ESG) data collection and analysis. AI and IoT devices offer the ability to monitor real-time environmental factors like energy consumption and carbon emissions, providing businesses with actionable insights to reduce their carbon footprint. Robust ESG data is vital for effective sustainability initiatives, and AI helps resolve issues of data inconsistency and lack of standardisation by providing reliable, accurate analysis.

Supporting sustainable business operations

The digital economy supports sustainable business operations through automation. Predictive maintenance driven by AI not only extends the life of machinery but also minimises resource wastage, significantly lowering operational costs. AI optimizes supply chains, from energy use to material sourcing, ensuring that processes are both cost-effective and environmentally friendly.

Reinforcing transparency and accountability

Transparency and accountability are further reinforced through the digital economy. With the ability to automate sustainability reporting, businesses can provide stakeholders with clear, data-backed insights into their environmental impact. This builds trust and fosters long-term engagement with both consumers and investors who increasingly prioritise sustainability in their choices.

Cloud Computing: Reducing energy consumption

One of the pivotal technologies in this regard is cloud computing. By migrating from on-premises data centers to cloud-based systems optimized for hyper-scale efficiencies, companies can significantly reduce their direct energy consumption. Cloud computing not only lowers the carbon footprint but also supports the integration of big data, AI, and machine learning (ML), further enhancing operational efficiencies.

Smart Cities: Sustainable urban development

Vietnam became a member of the ASEAN Smart Cities Network in 2018 and subsequently endorsed the Sustainable Smart City Development Plan for 2018-2025, with a strategic vision extending to 2030. By 2030, the goal is to form a network of smart cities across Northern, Central, and Southern Vietnam, including the Mekong Delta, with Hanoi, Ho Chi Minh City, Da Nang, and Can Tho serving as central hubs. These smart cities will foster connections and enhance sustainability through the use of IoT sensors, AI, and cloud computing to improve energy use, reduce waste, and enhance resilience.

Increasing labour productivity

Digital transformation is a key enabler of increased labor productivity. By automating routine tasks and providing workers with advanced digital tools, businesses can enhance efficiency and output. In Vietnam, sectors such as manufacturing, agriculture, and services are witnessing significant productivity gains through the adoption of digital technologies. For instance, smart farming techniques and precision agriculture are optimizing resource use and boosting crop yields, contributing to both economic growth and environmental sustainability.

“ As we look ahead, the integration of digital technologies and sustainability is not just an opportunity but a necessity. In a world where ESG assets are projected to surpass US\$ 50 trillion by 2025, companies that fail to embrace this integration risk falling behind. Those that leverage the digital economy to support sustainable growth will not only thrive but also contribute to a more resilient and equitable future.



Amalia Goux

Management Consultant and Founder at
AMG Consulting

Carbon market meets technology.

As climate change becomes an ever-pressing global concern, businesses, governments, and individuals are increasingly adopting net-zero strategies to mitigate its impact. One of the key mechanisms supporting this transition is the carbon market. Carbon markets play a pivotal role by mobilising resources and reducing costs, thereby facilitating a smoother transition towards a net-zero carbon future.

According to the World Economic Forum, the voluntary carbon market, valued at approximately US\$ 1.3 billion in 2022, is projected to grow to over US\$ 50 billion by 2030.

As the carbon market expands, blockchain technology can democratize access, making it less exclusive and more reliable. This technology addresses transparency issues in the voluntary market while also enabling broader participation in mandatory markets.

Currently, carbon market mechanisms are employed by 70 countries and territories, covering 23 percent of global emissions. Vietnam, for instance, is making significant strides towards establishing its own carbon trade exchange by 2028. **The Ministry of Natural Resources and Environment has drafted a project that outlines the development of Vietnam's carbon market, which aims to reduce greenhouse gas emissions in alignment with the country's climate commitments.**

As reported by the Ministry of Agriculture In 2023, Vietnam successfully sold:



The impending carbon trade exchange in Vietnam is expected to spur significant growth in the carbon credit market, particularly as global industry leaders like Apple and Samsung mandate carbon neutrality among their suppliers. This demand for carbon credits is likely to drive the market's expansion. However, due to the lack of finance, many local businesses in Vietnam are also exploring other sustainability measures beyond carbon credit procurement, such as adopting Environmental, Social, and Governance (ESG) practices.

Vietnam's commitment to carbon market development is further evidenced by the recent issuance of Decree No. 06/2022/ND-CP, which focuses on greenhouse gas reduction, ozone layer protection, and carbon market development.

In summary, the convergence of carbon markets and technology indicates a transformative period in climate change mitigation. The implementation of blockchain technology enhances transparency and inclusivity, essential for the credibility of carbon trading. Vietnam's proactive steps towards establishing a carbon trade exchange reflect a broader global movement towards sustainable practices and net-zero emissions. As the carbon market grows, bolstered by technological innovations, it promises to be a crucial component in the fight against climate change, providing both economic and environmental benefits.

Cementing Vietnam's green finance strategy.

Green finance is a cornerstone of Vietnam's green growth strategy. In 2021, the National Green Growth Strategy for 2021-2030, vision towards 2050, enacted by the government introduced that the State Bank of Vietnam will promulgate incentivizing credit policies for green investment projects. As Vietnam transforms this strategy into actionable plans, banks and businesses are increasingly promoting loans and investments in green growth projects, setting the stage for sustainable economic development

Among the leaders in this space is UOB, who committed to achieving net zero by 2050. UOB has made significant progress in aligning its operations with sustainable finance principles, offering a robust portfolio of green finance solutions. These solutions support clients across various sectors through initiatives like Green Buildings, Smart Cities, and Transition Finance. UOB's dedication to these initiatives underscores its commitment to empowering customers on their journey to a net-zero future.

In term of green bond, despite the global surge in green bonds, Vietnam's market remains in its early stages, largely due to the absence of a clear green taxonomy. Establishing such a framework is essential for enabling banks to effectively direct investor funds into environmentally beneficial projects. This would not only catalyze green finance in Vietnam but also foster widespread participation in the global fight against climate change.

2021



“ UOB's green trade finance solutions offer Vietnamese businesses a competitive edge and enhanced sustainability credentials. Leveraging our eight years of sustainability expertise, we've provided over US\$ 44.5 billion in sustainable financing globally (up 78% YoY).

In Vietnam, we've supported 17 renewable energy, and 7 green industrial projects and started offering green trade finance for some leading companies in agricultural sectors to support their sustainable production. By offering tailored green loans and trade finance, we help Vietnamese businesses transition to sustainable practices, contributing to the nation's economic growth and environmental goals.



Lim Dyi Chang

Country Head of Commercial
Banking at UOB Vietnam

BREAKING BARRIERS

How Digital Technology Transforms Industries.

7

In recent years, Vietnam has emerged as a promising hub of digital innovation in the region. The financial services sector in Vietnam is also undergoing a digital overhaul with the proliferation of Fintech startups. E-commerce, Edtech, Healthtech, Agtech, and ICT have experienced rapid growth. For instance, based on the Vietnam Innovation & Tech Investment Report 2024, in 2023, the healthcare sector experienced significant investment growth, reaching record-high levels. Its investments surged by an impressive 391% YoY. Beyond these industries above, digital technology is breaking barriers across manufacturing, tourism, insurance, and other services in Vietnam, driving innovation, efficiency, and inclusivity.

In recent years, Vietnam has emerged as a promising hub of digital innovation in the region. This transformation is not just altering business landscapes but also driving economic growth and social change, positioning Vietnam as a key player in the Southeast Asia digital economy.



The **financial services** sector in Vietnam is also undergoing a digital overhaul. Fintech startups are proliferating, offering innovative solutions that enhance financial inclusion. Mobile banking and digital wallets such as MoMo and ZaloPay have gained immense popularity, providing convenient, secure, and efficient financial services to a previously underbanked population. This shift not only boosts economic participation but also accelerates the movement towards a cashless society, reducing transaction costs and increasing transparency.



E-commerce is another domain where digital technology is breaking barriers. The surge in internet penetration and smartphone usage has fueled the growth of online shopping platforms. Global companies like Shopee and Lazada are capitalizing on this trend, offering a wide array of products and services accessible to consumers across the nation. These platforms utilize AI algorithms to personalize shopping experiences, predict consumer behavior, and manage logistics more effectively. The COVID-19 pandemic further accelerated the e-commerce boom, as consumers turned to online shopping to avoid physical stores.



Healthcare in Vietnam is being transformed through telemedicine and digital health solutions. Digital platforms such as Truedoc, and Doctor Anywhere are bridging the gap between patients and healthcare providers, especially in rural and underserved areas. These platforms offer remote consultations, online prescriptions, and health monitoring services, making healthcare more accessible and affordable.



Education is another sector experiencing a digital revolution. E-learning platforms like Topica Edtech Group, and ELSA are providing flexible, affordable, and quality education to students, and adults across Vietnam.



Agriculture, a vital part of Vietnam's economy, is also benefiting from digital technology. Precision farming techniques, driven by IoT and data analytics or QR traceability systems are enabling farmers to enhance crop yields, and credibly trace information about their products. Startups like Techcoop are providing comprehensive solution packages including access to the market, access to finance, and access to technology for 50 million smallholders across Vietnam and SEA nations.

Beyond these industries above, digital technology is breaking barriers across manufacturing, tourism, insurance, and other services in Vietnam, driving innovation, efficiency, and inclusivity.

EDTECH

The role of Edtech in Vietnamese education.

Vietnam's journey towards digital transformation in education is still unfolding, with significant strides made in recent years. Vietnam's Edtech landscape has transformed, fuelled by technological advancements, increasing internet penetration, and a young, tech-savvy population.

Vietnamese citizens are increasingly recognising the benefits of EdTech platforms, whether for learning new languages, gaining exposure to STEM subjects, or upskilling to improve job prospects. This tech-savvy generation is eager for high-quality education and readily embraces innovative learning solutions.

The education sector in Vietnam is experiencing rapid growth. Government investment in education was 18% in 2022. Additionally, Vietnamese parents are placing a high priority on their children's education. A recent study by FiinGroup in 2023 revealed that, on average, education expenditure for education by Vietnamese people increased by 7% CAGR from 2017 to 2023 with US\$ 32.8 billion.



2007

E-learning was introduced in Vietnam



2015-2019

Massive Open Online Courses (MOOC) providers have started growing as a new market segment



From 2020

Distance learning and teaching significantly boosted by Covid-19 pandemic

What is the bedrock of Vietnam's Edtech growth?



High internet penetration: 79.1% of total population.



Vietnam's population is predominantly young and tech savvy.



Government initiatives aimed at fostering digital transformation in education have further bolstered this growth, to create a centralized Content Management System (CMS).



The middle class has been on the rise and growing increasingly diverse. Gen X and Gen Y have a good education background and high income, are starting to become parents and they are willing to spend more to let their children access premium knowledge and skills.

During these years, several prominent EdTech companies emerged, such as ELSA, and Topica Edtech Group Kyna.vn. These companies attracted substantial funding rounds from both domestic and international investors. Recently, VUIHOC, a Vietnamese startup is honoured to be the sole representative of Southeast Asia in the 2024 World Edtech "Rising Star" ranking, conducted by TIME magazine (USA) in collaboration with market research firm Statista.

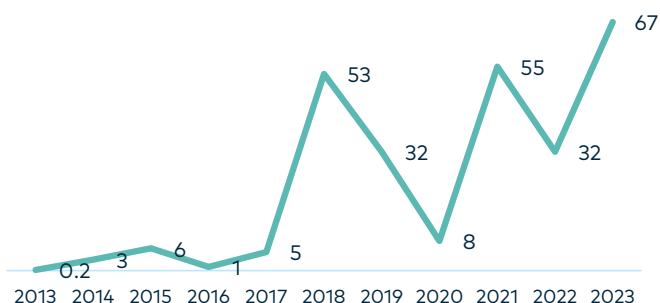
The funding landscape for EdTech in Vietnam reached unprecedented levels in 2022 and 2023. Despite the global funding winter that saw reduced venture capital investments in many sectors, Vietnam's EdTech scene was a notable outlier. In 2022, the sector saw a significant influx of capital, setting the stage for an even more impressive 2023.

In the first half of 2023 alone, Vietnam's EdTech startups raised over US\$ 30 million, surpassing the total amount raised in the entire year of 2022. This surge in funding marked a 107% year-on-year increase, a record-high for the sector. This remarkable growth contributed to the COVID-19 pandemic.

Vietnam's EdTech sector is expected to experience robust growth in 2024 and beyond, driven by increasing demand for learning digital skills and the government's ongoing efforts to modernize the education system.

Funding potential in Edtech.

Capital invested in Fintech by years, million US\$



Source: Vietnam Innovation & Tech investment report 2024

From 2013 to 2017, Vietnam's EdTech sector was in its nascent stage. During these years, funding was relatively modest, with a few pioneering startups attracting early-stage investments. Between 2018 and 2021, the EdTech landscape in Vietnam began to mature. The period saw a significant increase in both the number of startups and the total amount of investment. This growth was driven by several factors, including increasing internet penetration, widespread smartphone adoption, and a growing middle class with higher educational aspirations.

Michael Ngo, Managing Director Business Development of ELSA explains that increasing investments from both domestic and international sources also indicate strong confidence in the sector's potential. While Hanoi and Ho Chi Minh City are hotspots for EdTech adoption, rural areas are also showing promising growth as internet access improves.

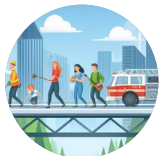


Emerging trends in EdTech sector.

Vietnam's Edtech sector is experiencing significant trends:



The integration of artificial intelligence and machine learning to personalize learning experiences, gamification to enhance engagement, and mobile-first strategies to reach a broader audience are particularly exciting developments.



There is a strong emphasis not only on technology platforms but also on content, with efforts driven by both the public and private sectors.



Substantial investments from both domestic and international investors underscore the confidence in the sector's growth potential.

The future of EdTech in Vietnam is both promising and dynamic, propelled by government commitments and advanced technologies. In the coming years, we can anticipate companies developing specialized AI models focused on education, which will push technological boundaries and enhance learning outcomes. This depth of innovation is particularly exciting, promising significant improvements in the quality and accessibility of education.

According to Statista Market Insights (2024), the revenue in the online education market is projected to reach US\$ 364.70 million in 2024.



“The Edtech landscape in Vietnam is poised for significant growth, creating opportunities for Edtech startups to innovate and expand their reach. Additionally, there is a rising demand for personalized learning experiences that cater to individual needs and preferences, highlighting the importance of AI and data analytics in Edtech solutions. Vietnamese Edtech startups are also looking to compete on a global scale, leveraging local strengths and addressing universal learning challenges. We've found it to be an incredibly dynamic and promising market. The growth potential here is phenomenal, largely thanks to our young population that's eager to embrace digital solutions for learning and professional development. With over 70% of the population under 35 and high smartphone penetration, Vietnam's digital readiness is significant.



Michael Ngo

Managing Director Business
Development at ELSA



ELSA Speak is the AI-powered English speaking app that has over 50 million downloads in 195 nations.

Market entry guide.

In practice, Vietnam has a complex and diverse classification of the educational system, including Kindergarten, general education with primary, junior, and high school, vocational education, university, and post-university programs. Besides that, to meet the needs of today's economic and social development, many short-term courses on soft or life skills, national or international practicing certificates, or certificates for foreign languages become popular in diverse forms.

Edtech remains a vague area under the Vietnamese legal framework since it has not been explicitly specified in legal documents. From the 2010s, the Vietnamese Government implemented projects to develop Edtech, however, it has only focused on small-scale subject base projects with limited objectives, mostly for public schools.

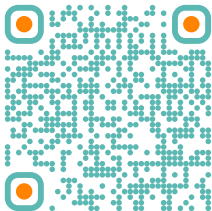
Requirements	Language center	E-learning language center
Facilities	✓	?
Equipment	✓	?

Moreover, there is a gap between the relevant education regulations and the practical processes due to the remarkable development of Edtech in Vietnam, which creates several obstacles. For instance, in 2017, to establish a language or computing center, by law, the center has to "provide adequate facilities, equipment, teaching materials and sources of financing for ensuring training quality in conformity with the center's development plan and operating scale." However, this condition becomes worthless in the case of e-learning when the preparation of facilities and equipment is the responsibility of both trainers and learners. Students would bear the responsibility for the weak conditions in their place of study, the efficiency of the computer they use, or the weak internet connection in their home, instead of the center or teacher. As a result, in practice, many Edtech companies assess this legal risk and choose to only register the technology and/or trading activities, to achieve better commercial purposes.

Due to the lack of clarity in the legal system, investors who seek to undertake Edtech-related business activities commonly review their requirements case by case, and register different operational activities such as educational services, IT services, and E-commerce, to obtain further corresponding sub-licenses, particularly for their business model (i.e. License of English Teaching/ Information Technology Centre establishment, Certificate on Vocational Education and so on).

At present, the Ministry of Training and Education has been aware of these regulatory impediments and inconsistencies and is working on a draft Circular for E-learning activities, which can further clarify the authorities' opinion on Edtech activities in Vietnam.

For more legal insights, please access our in-depth article "[EdTech in Vietnam: Sector Regulatory Analysis](#)" on our Acclime Vietnam website.



FINTECH

Digital innovation reshaping the financial services landscape in Vietnam.

One of the most significant impacts of digital technology in Vietnam is observed in the finance sector. The advent of Industry 4.0, characterized by the integration of artificial intelligence (AI), machine learning (ML), cloud computing, and big data analytics, has revolutionized this domain. Companies like MoMo, VnPay, and ZaloPay are leveraging these technologies, along with KYC (Know Your Customer) protocols, to ensure that users can make payments conveniently, securely, and efficiently. This has contributed to the broader adoption of digital payments in Vietnam.

Over the past five years, the Vietnamese Fintech landscape has grown rapidly with significant innovation trends:



The state approval of eSign and eKYC technologies, coupled with the COVID-19 pandemic, has significantly accelerated the transition from an unbanked to an underbanked, and ultimately, a fully banked population.



A notable advancement in the banking sector has been the implementation of zero-fee interbank transfers, spearheaded by leading banks such as Vietcombank. This initiative has heightened competition among banks, prompting them to enhance their product offerings for customers. Consequently, Vietnamese citizens can now transfer money instantly and free of charge, making digital banking more accessible and attractive.



The emergence of fintech startups like VNPAY and VietQR has further driven the growth of cashless transactions in Vietnam.

Long Phan, CEO of MFast explains:

“Today, the majority of Vietnamese people possess at least one bank account without ever needing to visit a bank branch, thanks to the convenience offered by digital banking apps. MFast has played a significant role in this evolution with MFast’s vision of increasing financial inclusion for underserved populations in emerging Southeast Asian countries, helping to elevate customers from underbanked to fully banked status.



Long Phan
CEO of MFast
 **MFast**

MFast is a fintech platform that enables every Vietnamese to access, use and introduce financial and insurance service packages among other product segments.

Fintech collaborations with traditional financial firms boost the sector.

In Vietnam, the synergy between fintech startups and traditional financial institutions is creating significant growth opportunities. By combining the agility and innovation of fintech with the established trust and resources of traditional firms, we witness the collaboration between Fintech firms and both local and international banks, such as MFast with KBank, in reaching and onboarding customers in tier-2 and tier-3 provinces across Vietnam.

Vietnam’s cashless economy gains momentum.

According to the State Bank of Vietnam, cashless transactions in 2023 were valued at 23 times the GDP, estimated at US\$ 9,890 billion, while Vietnam’s GDP reached approximately US\$ 430 billion. Director General of the Central Bank’s Payment Department stated that this achievement represents 90% of the 2025 target.

Vietnam digital payment boom, 2023

32.77

million active
e-wallets

↑ **103%**

growth of transactions via
internet and mobile

↑ **170%**

payment via QR codes

The FinTech landscape in Vietnam is predominantly driven by payments and mobile wallets. By the end of 2023, Vietnam had 32.77 million active e-wallets. Additionally, the average number of payment transactions via Internet and mobile channels grew annually by 52% and 103.3%, respectively, between 2021 and 2023. The number and value of payments via QR codes surged by over 170%.

In the first four months of 2024, non-cash payments continued to show solid year-on-year growth. Cashless transactions increased by 57.11% in number and 39.49% in value, with internet transactions rising by 47.48% in number and 30.20% in value, and mobile transactions growing by 59.26% in number and 35.91% in value.

Funding in Fintech.

The Vietnam Innovation & Tech Investment Report 2024 reveals that from 2013 to 2023, a substantial US\$ 1.04 billion has been invested in payment FinTech startups in Vietnam, alongside US\$ 495 million directed towards financial services. This influx of capital underscores the growing dynamism of the sector within the country.

Recently, MFast successfully secured US\$ 6 million in funding to tackle the financial services disparity in Vietnam’s rural regions. As stated by Long Phan, despite banking services predominantly concentrated in urban areas, the level of banking penetration in rural areas and tier-2 and tier-3 cities remains very low, especially in developing countries. MFast’s initiative aims to bridge this gap, enhancing financial inclusivity for underserved populations.

According to Statista, Vietnam is currently home to over 260 fintech startups, offering a diverse array of services such as digital payments, alternative finance, wealth management, and blockchain technology. The market is characterized by intense competition, reflecting its vibrant and rapidly evolving landscape. To stand out in the increasingly crowded and competitive Fintech market in Vietnam, investors should focus on combining trust, effective networks, and advanced technologies to maintain a sustainable competitive edge in the market.

Vietnam's QR code revolution.

Vietnam's digital finance landscape is experiencing a dynamic shift as QR-enabled payments gain significant traction. In a country where mobile-first solutions are at the forefront, tap-to-pay QR codes have swiftly become a popular alternative to cash transactions.

QR code payment growth, compared to the same period

↑ **846%**

in January 2024

↑ **1,146%**

in February 2024

This transition is evidenced by the impressive growth rates in non-cash payment and digital banking activities during the first two months of 2024, with QR code payment transactions skyrocketing by 846% and 1,146% compared to the same period in 2023. By 2025, QR code payments are projected to account for a substantial share of digital transactions in Vietnam, aligning with the government's vision of a cashless society by 2030.

The year 2023 marked a pivotal moment with the official launch of a bilateral cross-border QR payment link between Vietnam and Cambodia. This initiative enables citizens to conveniently scan QR codes for payments in either country using their local currencies, enhancing financial interoperability in the region. BIDV was among the first banks to successfully integrate this groundbreaking utility into its system, showcasing Vietnam's leadership in fintech innovation. Additionally, Vietnam joined Indonesia, Malaysia, Thailand, the Philippines, and Singapore in a collaborative effort to connect their payment systems, including QR codes for retail transactions, further solidifying the region's commitment to seamless financial integration.

The QR payment trend in Vietnam is poised for continued growth as banks intensify their focus on enhancing QR payment systems and user experiences. This burgeoning emphasis poses new challenges for e-wallets, which must innovate to stay competitive. Meanwhile, the B2B payments market, still largely untapped, is on the cusp of significant transformation, signaling an exciting horizon for the future of digital payments in Vietnam.

Vietnamese Fintech opportunities.

With the swift advancement of cashless payment methods and the growing prevalence of bank account ownership, Vietnam anticipates a substantial increase in digital banking services, particularly consumer finance.

The growing number of digital consumers and the booming middle class are set to continue to drive the country's digital transformation in banking.

Moreover, proposed legislation on open banking, peer-to-peer lending, and agent banking will further facilitate the digitization of banking products.

Key success advice for international investors.

- Leverage existing potentials such as brand reputation, and the network within the finance ecosystem to accelerate customer acquisition and provide seamless financial services.
- Focus on understanding and meeting local customer needs with a compelling value proposition and appealing product features.
- Utilize technology to provide personalized and customized product offerings.
- Adhere to tailored risk management principles.

“ Risk causes banks to do less. It means there is now more opportunity than ever for Fintech firms to address challenges for businesses and consumers. The successful players will be those who can cultivate and maintain customer relationships, building trust through more sophisticated offerings.



Binh Tran

General Partner
AVV



Market entry guide.

According to Decree 52/2024/ND-CP on Cashless Payments, the Vietnamese law allows both credit and non-credit institutions to provide Intermediary Payment Services. However, non-credit institutions (to simplify, ordinary Vietnamese companies in the majority of cases) can only be allowed to undertake the payment intermediary service after attaining a Provision of Payment Intermediary Services ("License") from the State Bank of Vietnam (SBV).

The prime condition to attain the License is the

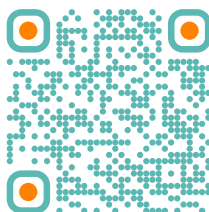


requirement for minimum charter capital of at least 50 billion Vietnam Dong and the companies must ensure the legality of the capital source. In addition, the company must satisfy a whole range of complex prerequisites.

With regard to market access regulations for foreign investors entering Vietnam applicable to the provision of intermediary payment services, these activities have not been committed by the Vietnamese authorities under the WTO Commitment. Accordingly, after receiving an investment project registration application from foreign investors, the licensing authority needs to consult the relevant Ministries in regard to permitting investors to undertake activities in-country. That said, there are currently no regulations or conditions regarding foreign investors' ownership limitations when establishing entities in Vietnam operating with intermediary payment services.

In practice, we have seen a number of foreign-invested companies in Vietnam obtaining approval from the licensing authorities to perform intermediary payment services under their approved business lines.

For more legal insights, please access our in-depth article "[Fintech brief 2024](#)" below:



HEALTHTECH

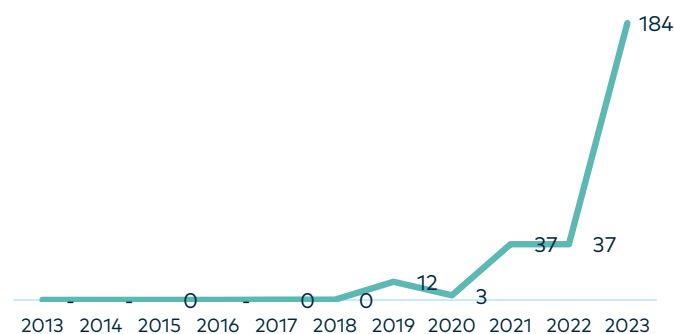
Vietnam's Healthtech landscape: fuelling growth with technology.

Healthtech, the intersection of healthcare and technology, is rapidly transforming the Vietnamese healthcare landscape. The integration of generative AI, telemedicine, and wearable devices is revolutionizing how healthcare is delivered, enhancing patient care, and driving down costs.

According to Statista, the Digital Health market in Vietnam is projected to reach US\$ 905.80 million by 2024. This surge is fuelled by a variety of factors including the COVID-19 pandemic, which accelerated the demand for remote patient monitoring and telehealth services.

Based on the Vietnam Innovation & Tech Investment Report 2024, in 2023, the healthcare sector experienced significant investment growth, reaching record-high levels. Its investments surged by an impressive 391% YoY, solidifying its position as the most funded sector in Vietnam's startup ecosystem.

Capital invested in Healthcare by years, million US\$



Source: Vietnam Innovation & Tech investment report 2024



Key growth drivers.

- The Covid-19 pandemic has significantly increased the adoption of remote healthcare solutions, highlighting the importance of telehealth and mobile health services.
- Low public health expenditure: with limited public health funding, there is a substantial opportunity for private sector innovation and investment in Healthtech.
- Rising middle class: Vietnam's growing middle class demands higher quality, convenience, and affordability in healthcare services.
- Government support: the Vietnamese government is actively promoting digital transformation and innovation in healthcare through strategic initiatives.

Challenges and opportunities in Vietnam's Healthtech.

Despite the promising growth, the Healthtech sector in Vietnam faces several challenges:



Early-stage development:

The digital health ecosystem in Vietnam is still in its nascent stages, requiring substantial development and investment.



Infrastructure limitations:

Inadequate healthcare infrastructure can hinder the widespread adoption of advanced Healthtech solutions.



Regulatory hurdles:

Navigating the regulatory landscape can be complex, with varying standards and requirements for digital health solutions.

However, these challenges also present opportunities for growth and innovation:



Improving access to care:

Healthtech can bridge the gap in healthcare access, especially in rural and underserved areas.



Reducing costs:

By automating administrative procedures and optimizing resource utilization, Healthtech can significantly reduce healthcare costs.



Enhancing quality of care:

Advanced technologies like AI can provide personalized treatment recommendations, improving patient outcomes and overall healthcare quality.

Vietnam's Healthtech advancements in 2024 and beyond.

Vietnam's healthtech sector is on the cusp of a significant transformation, driven by technological advancements and increasing demand for digital health solutions. With substantial room for growth, the sector presents numerous opportunities for innovation and investment. By leveraging emerging technologies and addressing existing challenges, Vietnam can enhance healthcare delivery, improve patient outcomes, and create a more accessible and efficient healthcare system for all.

EXPECTED
MARKET VALUE

1.4
billion US\$

The future of Healthtech in Vietnam looks promising, with a projected compound annual growth rate (CAGR) of 9.75% from 2024 to 2029. By 2029, the market is expected to reach US\$ 1.4 billion, driven by continuous advancements in technology and increasing demand for high-quality healthcare services.

As AI becomes more ubiquitous, its role as a digital assistant in healthcare will only expand, providing personalized care and improving patient outcomes. VinBrain is a Vietnam-based Healthtech startup making significant strides with AI. Their DrAid platform, which includes Tuberculosis screening, is a prime example of AI's potential in healthcare. By working with top hospitals and medical schools, VinBrain has developed AI solutions for detecting liver cancer with over 90% sensitivity and specificity.

VinBrain's expansion plans to markets like Ghana, Guam, the USA, SEA, and India demonstrate its commitment to improving global healthcare accessibility and equity.

Additionally, the increasing adoption of blockchain, RPA, and IoT will further transform the healthcare landscape, making it more efficient, secure, and patient-centric.

Market entry guide.



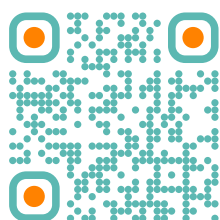
Despite the absence of a specific, robust regulatory framework for Healthtech, it can be categorized into three primary sectors: medical, e-commerce, and information technology. Consequently, the legal landscape for Healthtech is shaped by an amalgamation of laws and regulations in the medical, pharmaceutical, e-commerce, and information technology sectors. This complex legal environment underscores the interdisciplinary nature of Healthtech and the need for comprehensive regulatory oversight.



In Vietnam, both local and foreign investors are limited to providing services/ business lines within their registered scope. Unlike local investors, there are certain market access limitations for foreign investors, especially in the fields that are considered "sensitive". Vietnamese authorities will rely on the below levels of legal framework to issue the approval for investment activities of foreign investors in the form of a license. In particular:

- Level 1: Free trade agreements and other international treaties to which Vietnam and the home country of the foreign investor are members (International Treaties)
- Level 2: Vietnamese laws

When assessing market entry business lines and conditions relevant to the 4 Healthtech industry segments based on investors' operational objectives in Vietnam, the following conditions and market entry regulations generally apply. Scan this link to read more our comprehensive article "[MedTech in Vietnam: Market entry and licensing requirements for foreign investors](#)":



AGTECH

Vietnam AgTech overview.

Agriculture is critical to the Vietnamese economy. Vietnam's diverse geography, encompassing mountains, forests, coastlines, deltas, and river networks, facilitates the cultivation of a wide range of crops and supports substantial livestock, fisheries, and aquaculture industries.

The agriculture sector contributes 14% to the annual GDP, employing 40% of the total workforce, and generating US\$ 50 billion in exports in 2023. With two-thirds of the population residing in rural areas and 17 million smallholders operating on a small scale, the industry remains highly fragmented, characterized by multiple layers of buyers and a lack of transparency. These challenges limit access to finance, increase farming costs, lead to losses and waste, and drive-up supply chain service expenses.

Despite these obstacles, the industry has demonstrated steady growth and strong export momentum in recent years, underscoring the urgent need to address inefficiencies and unlock its full potential.

In 2024, Vietnam achieved leading global positions in several key agricultural sectors.



Top **5**
rice producer



Top **4**
aquaculture
production

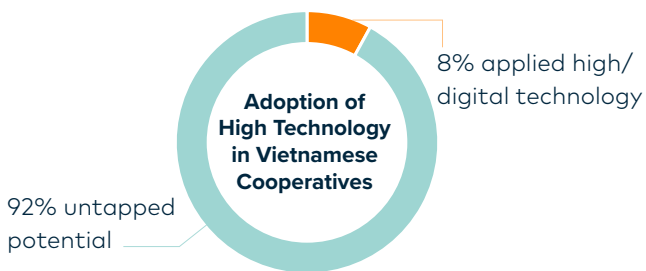


Top **2**
coffee
producer

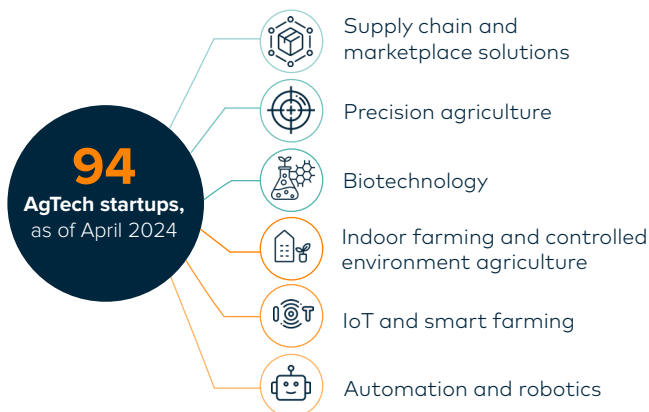
In 2023, the growth of the agriculture and rural development sector was reported at 3.83%, with total export turnover of agriculture, forestry, and fisheries exceeding US\$ 53 billion, and a trade surplus of US\$ 12.07 billion, the highest figure to date. The Ministry of Agriculture and Rural Development has set a growth target for the agricultural sector between 3.2% - 4% in 2024, with a total export turnover of US\$ 54-55 billion.

However, the rapid shift in Vietnam's population from farming to other sectors has posed a significant challenge. Last year, the number of workers in the agriculture, forestry, and fisheries sectors was 13.8 million people, down 118,900 people, equivalent to a decrease of 0.9% compared to the previous year (GSO). Undoubtedly, technological advancements play a crucial role in the development of agriculture, particularly in scenarios where labour availability is limited.

Technology is elevating the industry.



AgTech refers to the application of technology in agriculture to increase yield efficiency and profitability. According to statistics from the Ministry of Agriculture and Rural Development, by the end of 2021, Vietnam had more than 27,000 cooperatives but only 2,200 of them applied high technology and digital technology in production. This is a small number because millions of farmers are still struggling with the problem of shifting from traditional agriculture to high-quality, clean agriculture.



Based on the latest information from Tracxn, as of April 2024, 94 AgTech startups are operating in Vietnam. These companies are transforming the industry by offering a wide range of services, including supply chain and marketplace solutions, precision agriculture, biotechnology, indoor farming and controlled environment agriculture, IoT and smart farming, and automation and robotics. As TechCoop explains, their customers can reduce up to 20% - 30% the cost of access to finance and market and enable agribusiness to build a better foundation for future growth.

Drone technology is an example that is revolutionizing Vietnam's rice cultivation. It enables farmers to monitor crops, detect pest infestations, and assess crop health with unprecedented speed and accuracy, leading to more efficient agricultural practices. By streamlining operations and reducing the need for manual labour, drone technology helps farmers save on costs associated with labour, fuel, and materials, reduces chemical usage, conserves water resources, and mitigates the environmental footprint of agricultural activities.

As of April 2024, the agriculture, forestry, and fishery sectors attracted 536 projects valued at US\$ 3.9 billion.

Investor interest in AgTech is noticeably growing. Notably, AgTech startup TechCoop Pte. Ltd. secured over US\$ 5 million in equity from local VC firm AVV and Singapore-based VC firm TNB Aura.

Competition is heating up however there is still significant room for growth. AgTech startups should conduct thorough due diligence to comprehend the available incentives and opportunities that will facilitate their market entry in a rapidly evolving environment.

Challenges in need for solutions.

Vietnam's agriculture sector faces a multitude of challenges that hinder its growth and efficiency.



Fragmented supply chain:

Vietnam's agricultural supply chain is highly fragmented. This fragmentation results in inefficiencies and increased costs, making it difficult for small-scale farmers to compete in both local and international markets.



Low digital readiness:

The agricultural sector often exhibits low levels of digital readiness, particularly in human capital. Many farmers lack the necessary skills and knowledge to utilize advanced technologies, which can impede their adoption effectively.



Insufficient financial loans:

Access to financial loans is a significant barrier for many Vietnamese farmers.



Climate change impact:

Vietnam is highly vulnerable to the impacts of climate change, including rising temperatures, erratic rainfall patterns, and increased frequency of extreme weather events like floods and droughts.

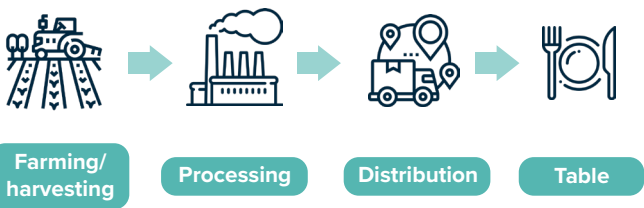
According to TechCoop, Agtech is a relatively new field in Vietnam, particularly when compared to more developed nations. The primary challenge lies in the prevalence of small-scale farming; however, there is also a notable trend towards industrial and centralized agriculture. Vietnam must adapt flexibly to the unique challenges faced by smallholders while simultaneously learning from regional and global best practices in industrial agriculture, which represents the future of the sector.

Future outlook and opportunities.

Vietnam's agricultural technology (Agtech) sector is set for significant growth in the coming years, driven by government interest and support. According to the 2020 Master Plan, authorities aim to foster active participation and investment from the private sector to advance the industry. Key priorities include promoting sustainable agriculture and developing robust supply chains.

To attract foreign investment and address existing challenges, the Vietnamese government has implemented several policies focused on enhancing the sector's growth and sustainability. This includes substantial investments in infrastructure development, particularly in regions with high agricultural potential such as the northern mountainous region, the Central Highlands, and the Mekong River Delta.

In Vietnam, there is a strong belief that digital transformation will revolutionize farm and supply chain management through a comprehensive "From Field to Table" approach. By leveraging various technologies to capture data and generate insights, the entire supply chain can be significantly enhanced and transformed.



Insights from TechCoop, a Tech-enabled B2B aggregator of Agri-processors and growers in fruits, nuts, and vegetables and high export value agriculture products. They provided and served growth liquidity, traceability, and digital services to more than 200 agri-SMEs, impacting more than 2,000 farmer clubs, equivalent to 170,000 farmers in Vietnam.

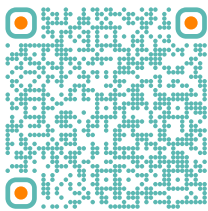
Market entry guide.

The Vietnamese government has issued many specific mechanisms and policies to attract investment in high-tech agricultural production, support high-tech agricultural enterprises, and offer many incentives for businesses operating in the high-tech agriculture sector. These include applying credit policies to serve the development of high-tech agriculture, flexible loan forms, land rent incentives, and reducing administrative procedures, implementing various policies to enhance the scale and quality of human resource training in the high-tech agriculture sector, facilitating research and technology transfer to improve the productivity and quality of agricultural products... Within the country, there has 34 high-tech agricultural zones planned in 19 provinces and centrally-run cities, with 6 large-scale high-tech agricultural zones covering an area of over 400 hectares in various provinces and cities.

Currently, Vietnamese Laws do not specifically define Agtech. However, the scope of Agtech enterprises can be inferred from the Decision No. 176/QĐ-TTg dated January 29, 2010, approving the Project on High-Tech Agricultural Development until 2020, high-tech agriculture is defined as an agriculture that utilizes high technology in the production of agricultural goods with superior quality, productivity, high added value, and environmental friendliness.

According to Article 66 of the Law on Crop Production, the high technologies prioritized and encouraged for application in cultivation include: (i) Biotechnology, (ii) Water-saving irrigation technology, soilless cultivation, (iii) Greenhouse production technology, (iv) Information technology for forecasting harmful organisms, (v) Automation in production.

For more legal insights on the [Agtech in Vietnam](#), please access our in-depth article on our Acclime Vietnam website.



ICT

Vietnam's Information and Communication Technology (ICT) landscape has undergone a remarkable transformation over the past few decades, positioning itself as a key player in the global ICT arena. This dynamic sector has shown consistent growth, driven by rapid technological advancements, supportive government policies, and increasing investment from both domestic and international stakeholders.

ICT REVENUE IN 2023, ESTIMATED

142 billion USD,  **1.4%** compared to 2022

As reported by the Ministry of Information and Communications, the total revenue from the ICT industry in 2023 was estimated at US\$ 142 billion, reflecting a 1.4% increase compared to 2022. Additionally, 2023 witnessed a 2.72% rise in the total number of employees within the industry. This sustained growth underscores Vietnam's strategic importance in the global ICT ecosystem and highlights the nation's commitment to leveraging technology for economic development.

This sustained growth underscores Vietnam's strategic importance in the global ICT ecosystem and highlights the nation's commitment to leveraging technology for economic development.

Vietnamese employees place a high premium on digital skills

Based on the analyst led by Economist Impact, supported by Google in 2023, there are 52% of the Vietnamese workforce highly values digital skills, surpassing the APAC average. Within this category, advanced capabilities such as UX design, AI and ML, cloud computing and IoT, and cybersecurity are considered essential.

Government focus

The government of Vietnam has approved the National Digital Transformation Program, extending through 2025 with a vision towards 2030, which will further bolster the growth of the ICT market.

Recently, the authority signed Decision 36/QĐ-TTg, approving the planning of information and communications infrastructure for the period 2021-2030, with a vision extending to 2050. This plan aims to develop a broadband telecommunications network characterized by large capacity, high speed, modern technology, and extensive IoT integration. This infrastructure will facilitate harmonious development and effectively support digital transformation, governance, the economy, society, and security and defence.

Significant FDI inflows

Significant FDI inflows particularly from global tech giants and regional players, who have bolstered the ICT infrastructure. As of May 2024, Information and communication attracted 3015 projects with a total capital of US\$ 5.14 billion.

Demographic advantage

A young, dynamic, and increasingly tech-savvy population provides a robust market for ICT products and services.

Expansion and modernization of telecommunications infrastructure

Despite being a lower-middle-income country, Vietnam boasts higher 4G coverage than many high-income, developed nations, reaching 99% compared to the high-income threshold of 99.4%. 5G testing has been conducted in 59 provinces and cities, and the number of smartphone users has risen to 84.4%, surpassing the global average of 63%. The goal is to achieve 100% smartphone penetration by the end of 2024.

Global IT outsourcing hub

The Vietnamese tech and outsourcing industries have grown steadily and emerged as a competitive destination for IT outsourcing and offshoring due to cost advantages and skilled labor. In 2024, Vietnam stands in twelfth place in the Global Services Location Index, a ranking of software outsourcing services from consulting firm A.T. Kearney.

ICT by sectors.

Cloud market

The scale of the cloud computing market in Vietnam currently stands at just over 50% compared to some other countries in the region. According to a recent report by the Ministry of Information and Communications, the cloud market in Vietnam is projected to grow to US\$ 1.24 trillion by 2027, with a compound annual growth rate of 17.9%. Four major domestic providers, namely Viettel, VNPT, FPT, and CMC, dominate the market, collectively holding approximately 97% of the share.

IOT

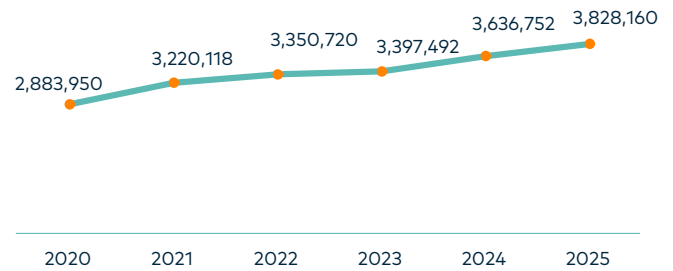
The Internet of Things (IoT) is experiencing significant growth in Vietnam. According to GSMA Intelligence, the number of IoT devices in the country is projected to rise from 21 million in 2018 to 96 million by 2025. The Ministry of Information and Communications anticipates that Vietnam's IoT market will reach a value of US\$ 7 billion by 2025. IoT applications are being extensively implemented in Vietnam, contributing to the development of smart cities, smart homes, energy management, environmental monitoring, traffic management, and water quality management, among other areas.

Despite this progress, several challenges hinder the adoption of IoT in Vietnam. These include a shortage of skilled professionals, inadequate technical infrastructure, high investment costs, and concerns about information security.

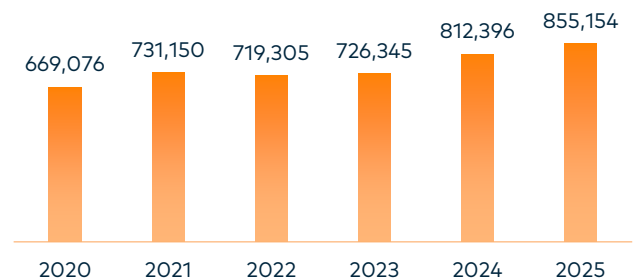


Vietnam's ICT by numbers.

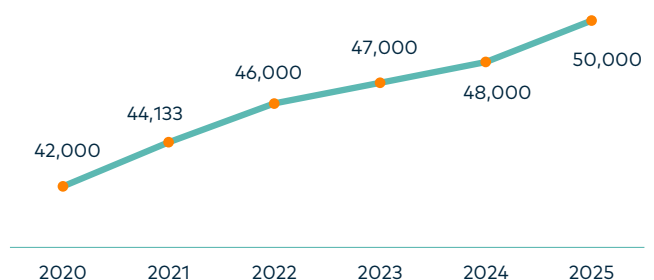
ICT's revenue (Billion VND)



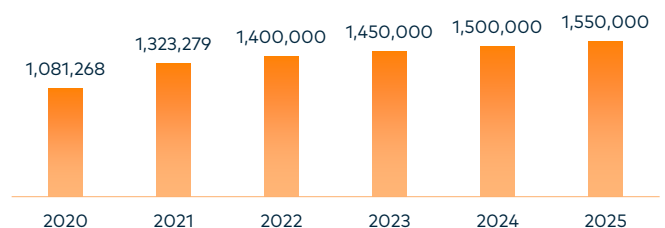
Contribution of ICT sectors to GDP (Billion VND)



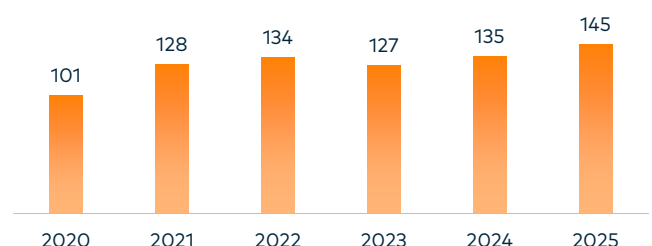
The number of ICT firms registered for operation



The number of ICT employees



Hardware and electronics export turnover (Billion US\$)



Source: Ministry of Information and Communications

AI – growth enabler for Vietnam’s digital economy

Artificial Intelligence (AI) is rapidly transforming industries and economies around the globe, and Vietnam is no exception. With significant investments and a growing market, AI presents immense opportunities for Vietnam’s economic development.

According to Statista Market Insights, the Vietnamese generative AI market was valued at US\$ 100.2 million in 2023. This valuation underscores the increasing importance and adoption of AI technologies across various sectors. Generative AI, in particular, is poised to enhance productivity and innovation in banking, production, retail, and entertainment. These industries stand to gain significantly from the performance boosts enabled by AI-driven solutions.

Boosting Vietnam’s digital economy.

Generative AI is expected to elevate Vietnam’s digital economy to new heights. By automating complex processes, improving data analysis, and enhancing decision-making capabilities, AI technologies are driving efficiency and innovation. This shift is not only modernizing traditional industries but also creating new business models and opportunities.

Generative AI is projected to contribute 14 trillion VND (approximately US\$ 574.83 million) to Vietnam’s digital economy by 2030, as stated by Vietnamplus newspaper.

Vietnam’s AI readiness.

Vietnam’s position in the 2023 Government AI Readiness Index, developed by Oxford Insights, reflects its growing AI capabilities. Ranking 59th out of 193 countries globally and fifth among the ten ASEAN member countries, Vietnam is well-placed to harness the benefits of AI. This readiness is indicative of the country’s proactive approach to adopting AI and fostering a supportive ecosystem for technological advancements.

AI is changing industries.

AI is revolutionising several key industries in Vietnam, with finance, retail, and healthcare leading the charge.



Finance Sector

- The finance sector has seen substantial growth and transformation through AI integration. Smart chatbots and virtual assistants are revolutionising customer service by understanding and resolving queries, providing financial services, and automating routine tasks. AI-driven systems are also enhancing fraud detection, credit assessment, and customer support.
- TPBank has implemented face recognition technology into its LiveBank service, enhancing security and customer convenience while VietinBank uses FaceID recognition kiosks to identify customers and streamline their requests to consultancy officers, acting as efficient assistants.



Retail Sector

- Vietnam’s retail sector is undergoing a digital transformation to adapt to market trends and tap into the \$350 billion retail market. According to a J.P. Morgan report, Vietnam is a prime growth market for retail consumption in the Asia-Pacific region. Retail enterprises are leveraging AI and machine learning (ML) technologies to enhance customer experiences, optimize supply chains, and drive sales. For example, Masan, a leading consumer retail enterprise, has aggressively pursued digital transformation to become a consumer technology group. Since 2022, it has made significant progress in integrating AI and ML into its operations.



Healthcare Sector

- The healthcare sector in Vietnam is increasingly adopting AI and robotics to improve patient care outcomes. AI technologies, such as text mining and machine learning, are being utilized to analyse medical data and support clinical decision-making. Robotics are assisting in various healthcare tasks, including elderly care, rehabilitation, and surgical interventions. Take VinBrain as an example, a leading technology company in Vietnam is transforming global healthcare through its AI products. One of its flagship products, DrAid™, is an AI pathology prediction platform that has demonstrated its effectiveness in over 150 hospitals.

Challenges and considerations.



Skilled workforce:

Developing a skilled workforce proficient in AI technologies is crucial for sustained growth.



Data privacy and security:

Ensuring robust data privacy and security measures is essential to gain public trust and comply with regulations.



Infrastructure development:

Ensuring robust data privacy and security measures is essential to gain public trust and comply with regulations.

The potentials of AI in Vietnam are vast, with significant impacts on key industries such as finance, retail, and healthcare. The ongoing digital transformation, driven by AI technologies, is set to elevate Vietnam's economy to new levels of development. By addressing challenges and leveraging opportunities, Vietnam can establish itself as a leader in AI adoption and innovation in the ASEAN region and beyond.

“ **The potential of AI in Vietnam is substantial, but the country must continue to navigate several challenges to fully realise this potential. Broader adoption in traditional industries remains limited, partly due to the complexities and costs associated with implementing AI solutions. However, Vietnam's young, tech-savvy population and burgeoning startup ecosystem provide a strong foundation for AI's future growth. If the country can continue fostering an environment conducive to AI innovation and address the talent gap, Vietnam is well-positioned to leverage AI as a key driver of its digital economy in the years to come.**



Binh Tran

General Partner
AVV

Smart logistics.

Vietnam's logistics is experiencing the proliferation of E-commerce, robust manufacturing growth, and increasing integration into global trade networks. To become a key player in the regional logistics landscape, digitalisation has been a key driver. Companies are utilising advanced technologies such as the Internet of Things (IoT), artificial intelligence (AI), and blockchain to streamline operations, enhance visibility, and optimize decision-making processes.

For instance



Nestlé's launch of the Cargo app exemplifies how digital tools can enhance logistics by connecting manufacturers, importers, and shipping lines, allowing them to track transportation processes, book shipments, and manage related documents efficiently.



Saigon Newport Corporation has implemented a system of e-port and e-warehouse, leveraging artificial intelligence (AI) to enhance customer service quality. These advancements highlight Vietnam's commitment to embracing smart logistics solutions, setting a strong foundation for continued growth and innovation in the sector.

E-commerce.

Vietnam's e-commerce landscape has witnessed remarkable growth over the years, evolving into a dynamic and rapidly expanding sector.



- Top 5 e-commerce platforms
- Growth rate of 52.3%
- Delivering approximately 2.2 billion products

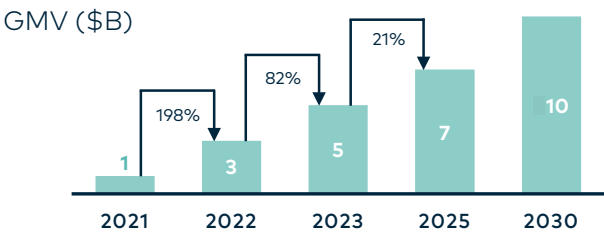
Total revenue from business-to-consumer (B2C) transactions on registered e-commerce platforms in Vietnam soared to VND 498.9 quadrillion (US\$ 20.1 billion)

The momentum continued into the first quarter of 2024, with the sector recording an extraordinary growth of 80% compared to the same period last year. During this time, over 768 million products were purchased online, totalling VND 79.12 trillion (US\$ 3.10 billion) in transaction value, and the number of vendor accounts surged to 510,000. With a compound annual growth rate (CAGR) of 10.09%.

In line with the e-commerce growth, shoppertainment continues to soar in Vietnam. The prevalence of short-form video 'reels' on social media platforms like TikTok, and Instagram reels act as a strong catalyst for this trend. Recently, live streaming has been one of the most successful marketing tools in Vietnam with revenue skyrocketing. According to VnExpress, around 53% of Vietnamese consumers are influenced by online communities when making shopping decisions, and 86% want to discover products and buy them on the same platform. This offers a badge for new entrants in shaping a growth strategy to win customer's hearts.

Digital technology is steering the country toward smart and sustainable tourism. Vietnam's online travel witnessed a dramatic increase in growth with 82% from US\$ 3 billion in 2022 to US\$ 5 billion in 2023. This recovery was driven by the growth in domestic travel as well as the returns of international tourists after the pandemic.

Online Travel



The growth of online travel in Vietnam | Source: E-Conomy report 2023

City Tour Hop On-Hop Off double-decker bus service in Ho Chi Minh City leverages digital data on transportation and tourist preferences to design tour routes, sell tickets, accept virtual payments, provide free Wi-Fi, and offer multilingual narration at tourist sites (Voice of Vietnam 2023). Additionally, some tourism-focused villages have begun using blockchain and 3D technologies to promote their history, crafts, and related information for visitors, businesses, and residents (Vietnam Investment Review 2023).



Source: Klook

Digital government (e-gov).

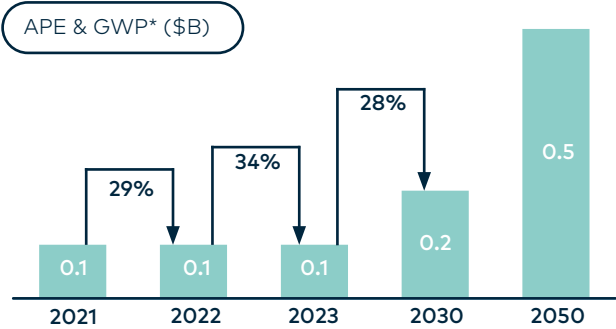
Under the 2023 National Digital Transformation Action Plan, Vietnam aims to bring 50% of administrative procedures online. This initiative is expected to reduce bureaucratic discretion and corruption, improve transparency, and enhance government efficiency.

In a recent meeting of the national committee on April 2024, Prime Minister Pham Minh Chinh emphasized the importance of digital governance, committing to leveraging digital platforms to streamline government operations, enhance transparency, and strengthen citizen engagement, both within government processes and in interactions between the government and citizens.

Insurtech.

Vietnam's tech-driven insurance landscape is rapidly evolving, significantly disrupting the entire sector. The number of insurance firms has surged since 2018, achieving an extraordinary compound annual growth rate (CAGR) of 255% from 2018 to 2022 as reported by FiinGroup. Additionally, according to the 2023 report by Temasek, Google, and Bain & Company, Vietnam's Insurtech market is growing at a rate of 34% per year. While the market is currently small in absolute terms compared to other countries in the region, if this growth trajectory continues, it is projected to reach the scale of Thailand and Singapore's Insurtech markets within six years.

Digital Insurance



The growth of Insurtech in Vietnam. | Source: E-Conomy report 2023

*APE = Annualized Premium Equivalent, GWP = Gross Written Premium

Blockchain.



Top 3
in the Global Cryptocurrency Adoption Index by Chainalysis from 2021 to 2023 reflecting its widespread adoption and enthusiasm for cryptocurrency.

One of the highest numbers of Metamask crypto wallet users globally, further emphasising its deep engagement with blockchain technology

The widespread adoption of blockchain in Vietnam can be attributed to its inherent benefits, such as transparency in data sharing, high confidentiality, and trustworthiness. These qualities make blockchain an attractive solution for various industries, including finance, logistics, and retail. The technology's ability to provide secure, transparent, and efficient data handling processes is revolutionising these sectors, driving greater efficiency and trust.

Moreover, blockchain technology is poised to address the complexities of international trade. The World Trade Organization (WTO) highlights that blockchain can significantly reduce trade costs by automating manual processes, managing and encrypting trade documents and letters of credit, accelerating payment operations, and enabling the automatic execution of agreements via smart contracts. These capabilities can streamline international trade, making it more efficient and cost-effective.

The Vietnamese government has recognised the potential of blockchain technology and has actively supported its development across socio-economic fields. Priority is given to businesses that deploy feasible blockchain projects with societal benefits, reflecting a strategic approach to integrating this technology into the national economy. This governmental support is crucial in fostering an environment conducive to blockchain innovation and application.

In conclusion, Vietnam's proactive embrace of blockchain technology, supported by substantial investment and governmental backing, positions it as a leader in the global blockchain arena. The country's strategic initiatives and high adoption rates showcase its commitment to leveraging blockchain for economic growth and technological advancement.



REGULATORY INSIGHTS

Prominent Policies towards Digitalization and Green Growth.

8

Although the digital economy in Vietnam is dynamic, it still presents challenges due to a lack of clarity within the legal and investment framework governing each sector. In order to enter the Vietnamese digital economy, investors should consider conducting a comprehensive analysis of the regulatory requirements required to leverage on the market's opportunities, before planning their commercial and promotional strategy.

Transforming Vietnam into a digital nation—stable, prosperous, and a pioneer in experimenting with new technologies and models—requires a fundamental and comprehensive renewal of government management, business operations, and the way citizens live and work. **This vision, as outlined by the Government of Vietnam in Prime Minister's Decision No. 749/QĐ-TTg dated 3 June 2020, aims for the development of a safe, humane, and widespread digital environment by 2030.**

This vision is concretized through key objectives, including the development of the digital economy, enhancing the economy's competitiveness, with the digital economy expected to contribute 20% of GDP by 2025 and increase to 30% by 2030. The proportion of the digital economy in various sectors is set to rise from a minimum of 7% to 8% in the same period. Vietnam also aspires to be among the top 30 countries in information technology, competitiveness, innovation, safety, and cybersecurity by 2030.

To achieve these goals, the process of digital transformation is being accelerated, with the Government taking proactive steps to "stay ahead in regulation wherever possible". The Government has also set out several key tasks to achieve the above targets, including the development of digital government, digital economy, and digital society. In particular:



Digital government: This is a crucial part of Vietnam's digital transformation strategy, aimed at enhancing efficiency and convenience in interactions between the government and citizens. The main pillars of digital government include providing online public services, data-driven management, and ensuring safety and cybersecurity. Digital government not only helps improve operational efficiency, reduce administrative procedures, but also increases transparency and effectiveness in state management, creating favorable conditions for citizens and businesses to interact with the government and receive services quickly and conveniently



Developing the **digital economy** is one of Vietnam's key objectives today. This involves transitioning from assembling and outsourcing information technology to producing digital technology products, promoting Industry 4.0 with advanced technologies such as artificial intelligence, big data, and the Internet of Things. Additionally, the development of digital content and the creative industry plays a crucial role, along with the platform economy and sharing economy, which help connect and share

resources more efficiently. E-commerce and smart manufacturing are also being enhanced to improve the competitiveness of businesses and the entire economy. Promoting digital transformation in enterprises not only helps to enhance competitiveness but also contributes to the sustainable development of the economy.



Promoting **digital transformation in society** is a vital task, focusing on skill transformation and providing massive open online courses (MOOCs). Collaborating with major global organizations and enterprises to train and enhance knowledge and skills in digital technology and digital transformation is essential. This not only helps to form a digital culture but also prepares the workforce for digital transformation, contributing to the development of a digital society.

The "National Digital Transformation Program to 2025, with a vision to 2030" by the Government of Vietnam has outlined eight key areas for digital transformation, aiming to significantly impact social life and the public. These priority areas include healthcare, focusing on developing platforms for remote medical consultations and electronic medical records; education, through the integration of digital technology in teaching and learning; finance and banking, with the expansion of digital financial services and electronic payments; agriculture, by implementing digital technology in management and production processes; transportation and logistics, with the introduction of intelligent traffic management systems; energy, through the optimization and management of energy use; natural resources and environment, by applying digital technology in resource management and environmental protection; and industrial production, by enhancing automation and the use of digital technology in manufacturing. These initiatives aim to improve efficiency, reduce costs, and enhance the quality of life for the public. From the above, the Government has set forth several actions, including:



Developing a regulatory framework for controlled experimentation in the development, testing, and application of digital products, services, and business models in Vietnam to encourage innovation



Issuing legal documents to facilitate the national digital transformation process and the development of new products, services, and business models based on digital technology, the Internet, and cyberspace



Creating legal provisions to ensure state investment and mobilize resources from businesses and society for digital transformation, encouraging all organizations and individuals to invest in and support this process



Researching specific policies and regulations on taxes and fees to encourage the use and provision of digital services by citizens and businesses



Enacting civil, criminal, and sector-specific laws to impose stricter penalties for fraud and deception in online transactions, as well as the illegal use and exploitation of personal information online, to enhance user confidence in digital transactions.

In line with these initiatives, regulations on personal data protection, cybersecurity, the use of digital and e-signatures, and most recently, the draft legal framework for digital technology industries have been released and are partially in effect. These efforts establish a solid legal foundation, fostering greater confidence in the potential for stable digital economic growth in Vietnam—not only among local citizens and businesses but also among foreign investors.

Green growth

Alongside its digital development initiatives, the Government of Vietnam demonstrates a strong commitment to sustainable development through the National Green Growth Strategy for the 2021-2030 period, with a vision extending to 2050.

Decision No. 1658/QĐ-TTg was issued by the Prime Minister of Vietnam on October 1, 2021, to approve the National Green Growth Strategy for the 2021-2030 period, with a vision toward 2050.

The strategy outlines specific objectives for achieving a green economy, reducing greenhouse gas emissions, improving resource efficiency, and promoting social inclusiveness. By 2030, the goal is to achieve green economic growth that leads to a reduction in carbon intensity and enhanced resilience to climate change impacts.

The long-term vision is to establish a green economy characterized by a balance between economic growth, environmental sustainability, and social equity. By 2050, the strategy envisions Vietnam as a developed nation with a low-carbon economy, where natural resources are used efficiently, biodiversity is preserved, and the quality of life for all citizens is significantly improved.

Decision No. 1658/QĐ-TTg represents a significant step in Vietnam's journey towards sustainable development. It sets a clear roadmap for transitioning to a green economy, ensuring that economic growth is aligned with environmental protection and social equity. The strategy's successful implementation will require strong political will, coordination across government levels, and active participation from the private sector and civil society.

Personal Data Protection in Vietnam – a landmark focus with Decree 13.

In the digital age, the management and protection of personal data have become critical issues for individuals, businesses, and governments worldwide. Vietnam, with its rapidly growing digital economy and increasing internet penetration, is no exception. The country is witnessing significant developments in data privacy regulations, influenced by global standards and the need to protect its citizens' personal information.

The Vietnamese government ultimately passed the Decree No. 13/2023/ND-CP on Personal Data Protection (Decree 13) on 17 April 2023. Decree 13 is a landmark legal instrument that integrates all of Vietnam's disparate data protection legislation. Scheduled to take effect on 1 July 2023, Decree 13 will apply to both domestic and foreign entities that directly engage in or relate to personal data processing activities in Vietnam.

Decree 13 will apply to enterprises in all sectors which engage in the processing of personal data. At the moment, it is uncertain how seriously the authorities will enforce the requirements of Decree 13 during this initial transition period, and how companies will be able to handle all of the obligations set out by the Decree in the following months. For the time being, businesses should exercise prudence and begin preparing their compliance plans.

The Decree may pose a challenge to data controllers and data processors that need to review the entire system and process to meet the requirements, including technical options so that users can access, view, edit, delete their data stored on the system. Currently, many systems do not have a technical plan, or not enough, requiring further investment and upgrading.

We advise businesses in Vietnam to urgently develop a compliance plan with the new Decree and review their existing processes immediately, to ensure they are compliant by the 1 July implementation date. Special emphasis should be placed to comply with storing and processing data outside of Vietnam and also ensuring the capability of the system to remove or amend personal data as and when data subjects require organizations to do so.

Cybersecurity becomes fundamental.

In today's interconnected world, cybersecurity has emerged as a critical concern for nations, businesses, and individuals alike. Vietnam, with its dynamic economic growth and increasing reliance on digital technologies, is at the forefront of this global challenge. As the country continues to embrace digital transformation, it faces a growing array of cyber threats that can impact its economic stability, national security, and citizens' privacy. After more than four years from the release of the 2018 Law on Cybersecurity, the guiding Decree of this law, Decree 53 was finally promulgated on 15th of August 2022, and is dated effective as of 1st of October 2022.

Compulsory data to be stored in Vietnam

With Decree 53, domestic and foreign enterprises providing services on telecommunications networks, services on internet and value-added services in Vietnam's cyberspace which collect, analyse or process private information or data about their users or data created by their users in Vietnam (Regulated Industries), are required to store 3 types of data in Vietnam:



Data on the personal information of the users in Vietnam.



Data created by users in Vietnam: service account name, service usage time, credit card information, email address, registered network address (IP) last login, logout, registered phone number associated with the account or data



Data on the relationship/activities of users in Vietnam: friends, groups with which the user connects or interacts

The authorities refer to the types of data mentioned above as Localised Data. The law does not regulate the "form" of data storage; thus, enterprises will decide about the form in which the relevant data will be stored in Vietnam.

Which enterprises are subject to storing Localised Data in Vietnam

Domestic and foreign companies operating within

Regulated Industries are both impacted by the localisation of data mentioned in this Decree and are required to store the Localised Data in Vietnam. The obligation to register a Branch or a Representative Office in Vietnam applies to foreign enterprises which meet ALL the 3 specific conditions of Localised Data storage mentioned above. Foreign enterprises are required to maintain the official presence in Vietnam through a Branch or Representative office until the services are no longer provided in Vietnam and there are no operations within the country.

The procedures for establishing a Branch or Representative Office are covered in commercial and enterprise laws and other relevant regulations in the Vietnamese regulatory system.

Digital signatures – available but challenging in implementation.

The ongoing digital transformation in Vietnam, which was intensified by the COVID-19 pandemic, has led to electronic signatures (E-Signatures) being a common talking point, due to them being an invaluable tool used by businesses across the world. Vietnam has accepted e-signatures into its legal framework, allowing it to be recognised in a wide variety of uses cases and transactions, however the implementation and practical usage still pose challenges in the majority of commercial transactions.

Digital Signatures and usage in commercial contracts

As mentioned above, Digital Signatures are a form of E-Signature, including a wide range of cryptographic forms of representation such as a scanned image, or an image signature, however a Digital Signature is the most commonly used digital form in Vietnam for signing/certifying contracts. In commercial practice, most Vietnamese laws only recognize the validity of contracts prepared in electronic form which are signed by a Digital Signature. The validity of contracts signed by scanned signature or image signature is generally not mentioned within the Vietnamese legal framework, thus rendering other forms of electronic signature less useful in contract signing.

Digital Signatures by foreign providers – risks and provisions

DocuSign is one of the most used Digital Signature providers globally, along with many other alternatives such as Adobe Sign and Microsoft partner eSign. However, businesses in Vietnam should be aware there is statutory risk when using

digital signatures in Vietnam from foreign service providers (such as DocuSign or Adobe Sign, etc.). Out of the 16 public Digital Signature certification organisations licensed to provide E-Signature certification services in Vietnam, none of them are foreign entities. Although there is no public policy reason to reject the services of such providers, the signing of contracts or agreements with DocuSign may result in contract being deemed invalid and subject the signatories to significant commercial and statutory risks.

Practical notes and conclusion

In practice, E-Signatures are not as commonly used in Vietnam as they are globally due to their limited scope and usage benefits presently in Vietnam, and it will take some time before Vietnam becomes accustomed to using E-Signatures in a flexible and broad manner. If you are considering applying for E-Signatures in transactions, take note of the following provisions:

- Ensure you follow the Security Conditions and Legal validity as mentioned above. If necessary, you can seek further guidance from the authorities receiving such documents about the process
- When agreeing to use an E-Signature, the signatory as well as the party accepting the E-Signature are required to be able to legally use E-Signatures under the law of Vietnam.

Despite being regulated by the Vietnamese laws, E-Signatures are not as frequently and widely used in transactions and documentation signing in Vietnam. Therefore, we advise investors to be aware of which documents can be signed using E-Signatures, especially Digital Signatures, otherwise, the documents can be deemed as invalid and non-compliant according to Vietnamese laws, posing significant statutory and commercial risks.

Digital contracts

In the previous section, we discussed certain electronic forms signed with E-Signature that hold legal validity. This section highlights one of the most common forms, as defined in the Law on Electronic Transactions as "it cannot be denied legal value solely because the information is in the form of a data message", meaning it has the same legal effect as traditional paper documents. This is known as a Digital Contract.

Digital Contracts and their composition

Digital Contracts have been recognized since the Law on Electronic Transactions 2005 and are referenced in various other legal documents, such

as Decree 52/2013/ND-CP on E-commerce, Decree 35/2007/ND-CP on Electronic Transactions in Banking Activities, and Decree 165/2018/ND-CP on Electronic Transactions in Financial Activities, among others. More recently, the Labour Code 2019 acknowledges a new form of labour contract, in addition to the traditional paper form, as a digital labour contract established through electronic means in the form of data messages.

In business, Digital Contracts are quite common but often overlooked, ranging from cookie policy agreements, privacy agreements, to more formal and specialised forms such as commercial and civil contracts signed by individuals, companies, and organisations using E-Signatures.

Digital Contracts are widely adopted and gradually replacing traditional contracts due to their numerous advantages. These include eliminating printing and storage costs, avoiding natural wear and tear, easy retrieval, instant delivery, no need for the contracting parties to meet in person, and ensuring an uninterrupted workflow.

Legal value of Digital Contracts

Digital Contracts, as part of a data message, alongside other forms such as electronic documents, electronic texts, emails, faxes, etc., hold the same legal value as traditional paper documents and "cannot be denied legal value solely because the information is in the form of a data message". This allows Digital Contracts to be considered as one of the forms of evidence in civil, commercial, and labour transactions, having legal binding force on the parties and serving as evidence in disputes at courts and arbitration, as long as the data message is presented in writing, accessible, and can be used for reference.

In Vietnam, some service providers offer both E-Signature and Digital Contract services, such as Misa, FPT, VNPT, etc., and these services are easily accessible at reasonable costs. However, in practice, due to certain regulations that have not been updated or clearly guided, the application of digital contracts may encounter challenges, such as notarisation, contract certification, or in sensitive transactions related to real estate, inheritance, and marriage.

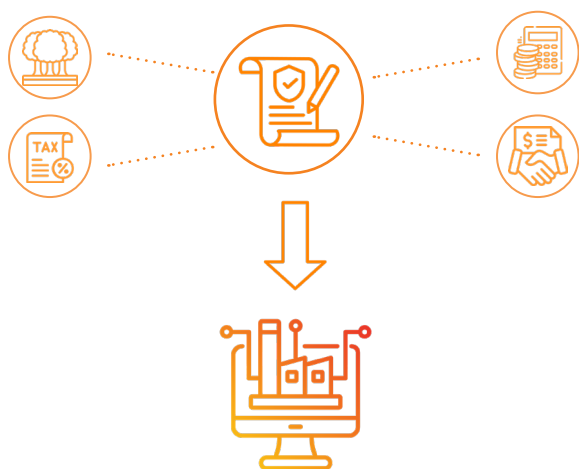


Digital Technology Industries

The Vietnamese government is always focused on improving and developing policies for the domestic digital technology industry. Through the issuance of documents and resolutions, many important guidelines and directions have been established to perfect the institutional framework for the digital technology industry. This industry is creating positive effects across all economic sectors in Vietnam and is experiencing rapid growth. However, the current legal regulations in Vietnam were enacted over 17 years ago and have gradually become outdated in relation to the rapid development of the digital technology sector. The existing legal documents do not provide breakthrough measures to develop the domestic market for digital technology enterprises, especially small and medium-sized digital technology businesses.

The Vietnamese Government is currently drafting the Digital Technology Industry Law to implement policies ensuring the development of the digital technology industry. These policies include incentives related to land, taxes, finance, investment, and other mechanisms to develop the digital technology industry. Providing special preferential policies are in place to attract investment in new digital technologies. The Government encourages the development of the digital technology industry towards sustainability, reducing energy consumption, emissions, and negative environmental impacts, and producing environmentally friendly digital products and services. Focusing on developing human resources for the digital technology industry, with special preferential policies to train, attract, and effectively utilize digital technology human resources.

Additionally, the draft Digital Technology Industry Law also stipulates prohibited acts in digital technology industry activities, such as: exploiting digital technology industry activities to infringe upon the interests of the State, the rights, and legitimate interests of organizations and individuals; causing damage to resources, the environment, and human health; acting contrary to the ethics and customs of the nation, negatively affecting security, order, social safety, or Vietnam's foreign relations; producing, transmitting, collecting, processing, storing, providing, exchanging, and sharing digital technology industry data in violation of the law; infringing intellectual property rights; illegally appropriating, transferring, or transferring research results, developing digital technology products and services; obstructing the mobilization of digital technology industry resources for national defense, security, emergency, and disaster prevention activities of state agencies or authorized persons; obstructing the lawful digital technology industry activities of organizations and individuals, and ensuring safety and security in digital technology industry activities.



ADDRESSING KEY BARRIERS

Navigating Complexity Emerging Challenges in Digital Transformation.

9

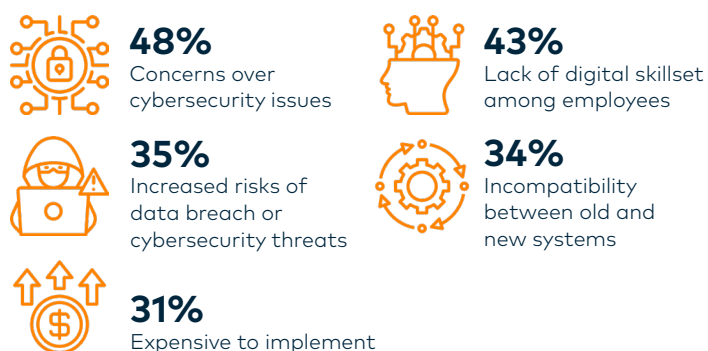
Cybersecurity issues, lack of digital skillset among employees, risks of data breach or cybersecurity threats, incompatibility between old and new systems, the high cost of implementing digital transformation initiatives are the top challenges for digitalization in Vietnam. To navigate these complexities, strategic initiatives from both the government and private sector aimed at mitigating these challenges will be essential for paving the way towards a digitally empowered future.

Navigating complexity in digital transformation.

Digital transformation is increasingly seen as a critical pathway for economic growth and competitiveness in Vietnam. However, several significant challenges hinder its full-scale adoption and effective implementation.

According to the UOB Business Outlook Study 2024 which surveyed 525 business owners and key executives from SMEs and large enterprises in Vietnam, 48% of respondents expressed concerns over cybersecurity issues, while 43% highlighted inadequate skillsets as a significant challenge. Additionally, there is growing concern about the high cost of implementation, increased risks of data breaches, and incompatibility between legacy and new systems.

Top challenges for digitalisation



Top challenges for digitalization | Source: UOB Business Outlook Study 2024

One of the foremost challenges is cybersecurity issues. As organizations embrace digital technologies to enhance efficiency, innovate, and stay competitive, they simultaneously expose themselves to a wider array of cyber threats. These threats, including data breaches, ransomware, and sophisticated hacking attempts, can compromise sensitive information and disrupt critical operations.

The inadequate skills and capabilities for implementation are another significant barrier.

Digital transformation requires a workforce skilled in modern technologies such as artificial intelligence, data analytics, cloud computing, and cybersecurity. However, there is a notable skills gap in Vietnam, where the current workforce may lack the necessary expertise to implement and maintain advanced digital systems. This skills shortage necessitates substantial investment in training and development, further adding to the costs and complexity of digital transformation efforts. Without adequate skills, even the best technology and plans can falter.

Another critical issue is the increased risks of data breaches.

As companies integrate advanced digital technologies and migrate to cloud-based solutions, they inadvertently expand their attack surfaces, making them more susceptible to cyber threats. Data breaches can result in the unauthorized access and theft of sensitive information, leading to significant financial losses, legal repercussions, and damage to the company's reputation.

34% of respondents from UOB's survey above said that the incompatibility between old and new systems is one of the problems they are facing. The companies strive to modernize their operations by adopting advanced technologies, they often face challenges in integrating these innovations with legacy systems. This incompatibility can lead to disruptions in workflows, data inconsistencies, and increased operational costs. Additionally, the time and resources required to bridge the gap between old and new systems can delay the benefits of digital transformation.

Finally, it is the high cost of implementing digital transformation initiatives. For many Vietnamese businesses, especially small and medium-sized enterprises (SMEs), the financial burden of upgrading legacy systems, purchasing new software, and training staff can be prohibitive. The upfront investment required for comprehensive digital transformation is substantial, often involving not just technological upgrades but also significant process overhauls. This financial strain is compounded by the uncertainty of returns on investment, making many businesses hesitant to commit fully to digital transformation projects.

Driving and supporting Vietnam's digital adoption journey.

Governments play a pivotal role in fostering digital adoption through various initiatives and policies. By investing in robust digital infrastructure, such as high-speed internet and broadband networks, governments create an environment conducive to digital innovation and growth. Vietnam is embracing regulatory frameworks with prominent Decrees on cybersecurity, data privacy, and digital rights protection. These are essential for building trust and encouraging businesses and individuals to embrace digital technologies.

Banks are at the forefront of driving digital adoption through their comprehensive range of financial services such as funding or grants for companies that have digital strategies. From the firm level, fostering a culture of innovation and continuous learning within the organization is essential for successful digital transformation. Training programs, upskilling initiatives enable employees to adapt to new technologies and contribute to digital growth.

The successful digital transformation of an economy relies on the collaborative efforts of governments, banks, and companies. Governments provide the necessary infrastructure and regulatory support, banks offer digital financial services and innovations, and corporations integrate advanced technologies into their operations. This synergy creates a robust ecosystem that promotes widespread digital adoption.

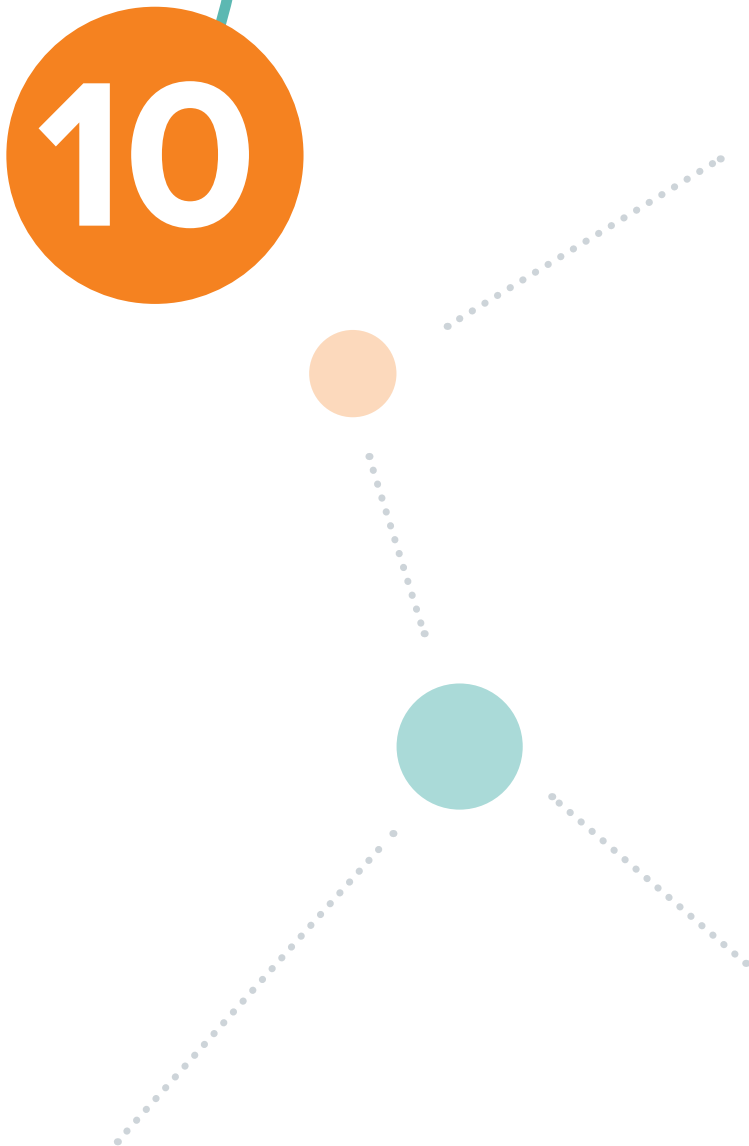
“ While digital transformation holds great promise for enhancing the competitiveness and growth of businesses, several formidable challenges impede its progress. Addressing the high costs, bridging the information gap, carefully selecting technologies and suppliers, and developing the necessary skills are crucial steps for Vietnam to fully harness the benefits of digital transformation. Strategic initiatives from both the government and private sector aimed at mitigating these challenges will be essential for paving the way towards a digitally empowered future.”



Kevin Lam
Partner
Acclime Vietnam



Looking Ahead.



10

Looking ahead, Vietnam's digital economy is forecasted to account for 30% of GDP by 2030. This outstanding growth perspective is buoyed by a consistent foreign investment flow into the country's digital sectors, rising internet penetration and high middle-class income, in line with the Vietnamese authorities' commitments.

International investors who are able to take advantage of these factors and successfully compete for a place in the market, will solidify their presence in Vietnam, reap the rewards of the digitization trend of the entire economy and create longstanding value.



Looking ahead - digital, sustainable, green.

Vietnam's digital economy has been evolving significantly over the past two years. Notably, the information technology sector has played a pivotal role, contributing up to 60% of the digital economy's scale. In 2023, the IT industry's revenue reached US\$ 138.5 billion, supported by over 45,500 digital technology enterprises. Additionally, more than 1,400 Vietnamese IT companies generated US\$ 7.5 billion in revenue from foreign markets. According to the Ministry of Information and Communications (MoIC), the digital economy accounted for 12% of GDP in 2020 and grew to 16.5% by 2023, with an annual growth rate of around 20%.

Vietnam's digital economy is forecasted to account for 30% of GDP by 2030.

The UOB Business Outlook Study 2024 (SMEs & Large Enterprises) reveals that around 90% of businesses, especially in the technology, media, and telecommunications sectors, have adopted digital technologies. This digital transformation permeates all organizational layers, with internal functions being largely tech-enabled. Meanwhile, efforts to digitalize customer-facing operations and supply chains are actively progressing.

In July 2024, the Ministry of Information and Communications, along with the Vietnam Chamber of Commerce and Industry, committed to advancing the digital transformation of one million Vietnamese businesses by 2026. This initiative highlights the government's dedication to accelerating Vietnam's National Digital Transformation Programme.



“ Vietnam is on the way to a transformative era, characterised by the emergence of the green and digital economies.

The green economy in Vietnam is rapidly gaining momentum, driven by a national commitment to sustainable development and environmental conservation. Investments in renewable energy, green technologies, and sustainable practices are not only reducing environmental impact but also unlocking new business prospects. Companies that prioritize sustainability are poised to benefit from government incentives, enhanced brand reputation, and access to a growing base of eco-conscious consumers.

Simultaneously, the digital economy is reshaping Vietnam's business landscape. Advances in technology and digital infrastructure are fostering innovation and efficiency across industries such as e-commerce, fintech, edtech etc.

Navigating these evolving landscapes, however, requires strategic foresight and proactive measures. Businesses must invest in workforce upskilling, robust digital infrastructure, and comprehensive sustainability frameworks. By embracing these opportunities and addressing the challenges, companies can position themselves for long-term growth and success in Vietnam's dynamic economy.

We trust this report highlights the myriad opportunities and challenges that lie ahead for businesses eager to capitalize on these trends.



Vlad Savin
Partner
Acclime Vietnam



Research references.

Data and metrics were corroborated in partnership with UOB Vietnam, a leading bank in Asia with a global network of around 500 offices in 19 countries and territories in Asia Pacific, Europe, North America.

AVV, an early-stage venture capital firm that aims to empower tech entrepreneurs in Vietnam and beyond to positively transform the lives of people everywhere, also supported the report with expert insights, interviews and material analysis.

In addition, ELSA Speak, MFast, TechCoop and RMIT Vietnam have provided substantial information and market-related insights.

Additional research references:

- General Statistics Office of Vietnam
- State Bank of Vietnam
- Foreign Investment Agency Vietnam
- Ministry of Industry and Trade
- Ministry of Finance of Vietnam
- Ministry of Information and Communications
- Google & Temasek & Bain & Company
- Statista
- European Commission
- ESCAP
- Economist Impact
- ITU
- The World Bank
- UNCTAD
- United Nations E-Government Development
- WIFO
- ASEAN statistic report
- Monetary Authority of Singapore
- GSMA intelligence
- Portulans Institute
- Oxford Insight
- Weforum
- INSEAD
- Finastra
- International newspapers
- Local media outlets
- Savills
- Sembcorp
- Cambridge
- FiinGroup
- VNNIC
- Do Ventures
- NVIDIA
- VinBrain
- Tracxn
- ATKearney

Engagement team.

If you have any questions regarding this study, please don't hesitate to contact us.



RIZWAN KHAN
Managing Partner

Rizwan has over 25 years of experience in diversified industries and has worked with international companies in Vietnam for over 14 years in corporate services, education and manufacturing sectors. He is a seasoned professional with a solid education background, having several qualifications from USA, UK, Australia and Pakistan in accounting, audit, finance, company secretary, cybersecurity and data privacy, to name a few. He was elected as the founding president of the IMA Vietnam Chapter from 2018 to 2022.

At Acclime, Rizwan has responsibilities covering accounting, tax and licensing services. With his extensive background using technology in accounting and finance, he seeks to add additional value to our key clients. Rizwan envisions Acclime Vietnam to be at the forefront of technology-driven corporate services that bring more efficiency while meeting the needs of compliance in Vietnam.

Before joining Acclime Vietnam, he was CFO and CIO in the manufacturing industry for several years and had training in supply chain management, lean six sigma and ISO implementation. Rizwan is also a speaker at international conferences on various topics, including but not limited to technology for accounting and finance. He is also keen on training and lecturing and is actively involved in academic lecturing and professional training.

Email: r.khan@acclime.com



VLAD SAVIN
Partner

Vlad has over 11 years of experience working in various countries across Asia, with a wide exposure in investment consulting, business development, marketing, and finance. Vlad is assisting international investors to expand and be compliant in Vietnam and across Asia, by providing strategic advice, market insights, and corporate governance solutions.

Vlad looks after Acclime's business strategy and growth, organizing seminars and workshops for the foreign and local investor community in Vietnam, while assisting with strategic partnerships, client relationships and the overall brand positioning of the firm. In addition, Vlad has a leading role in the local business community as Vice-Chairman at the Central Eastern European Chamber in Vietnam, a business association part of European Chamber.

Vlad holds a Bachelor of Economics, Marketing and International Relationships from Spiru Haret University, Romania and a Business Strategy Certificate from University of Virginia, Darden School of Business.

Email: v.savin@acclime.com

Investor relations



Nguyen Thi Trang Thu
Marketing Manager

Marketing content



Hoang Thi Nhu Quynh
Marketing Supervisor



Le Thi Phuong Ngan
Senior Client Coordinator &
Marketing Assistant

Research analysis



Pham Thi My Anh
Marketing & BD Executive



Acclime Vietnam is a part of Acclime Group - a premier corporate services provider in Asia with presence in 14 jurisdictions covering Australia, Cambodia, China, Hong Kong, India, Indonesia, Malaysia, Mauritius, New Zealand, Philippines, Seychelles, Singapore, Thailand and Vietnam. With a focus on providing exceptional services to international clients, Acclime helps corporates and private clients seamlessly advance their businesses and interests in difficult-to-navigate markets in Asia and beyond. Our years of in-market experience and deep knowledge helps our clients to avoid pitfalls and make progress faster.

Acclime Vietnam is one of the most reputable and trustworthy names in the corporate services sector in Vietnam, with almost 150 staff working across 3 key cities: Hanoi, Ho Chi Minh City and Danang, Acclime Vietnam has been assisting foreign invested and locally owned companies to enter, expand, operate and succeed in Vietnam, while maintaining the highest level of professional standards through proactive compliance, reporting assistance and advice.

Acclime presence in Vietnam:

Ho Chi Minh City: Level 9, Lim Tower 3, 29A Nguyen Dinh Chieu, District 1

Phone: +84 (28) 3535 8200

Hanoi: Unit 504, Level 5, Hanoi Tower 49, Hai Ba Trung, Hoan Kiem District

Phone: +84 (24) 6273 3589

Danang: Level 3, Diamond Time Complex Building 35 Thai Phien, Hai Chau District

Phone: +84 28 3535 8200

Email: vietnam@acclime.com



UOB is a leading bank in Asia with a global network of around 500 offices in 19 countries and territories in Asia Pacific, Europe and North America. UOB has been in Vietnam for 30 years, started from a representative office in 1993 and became the first Singapore bank to launch a branch in the country in 1995. Today, UOB Vietnam offers a range of personal and institutional financial services to both Vietnamese and overseas customers across the country backed by the seamless connectivity offered through UOB's regional network.

UOB Vietnam Address:

Ho Chi Minh City: Central Plaza (Le Duan) Branch Basement, Ground Floor, Central Plaza Building, 17 Le Duan Boulevard, Ben Nghe Ward, District 1, Ho Chi Minh City

Hanoi: Lot 01-08, Lot M-02A and Lot M-02B, Pan Pacific Hanoi Office Building

01 Thanh Nien, Truc Bach Ward, Ba Dinh District, Hanoi

For further information, please visit <https://www.uob.com.vn>



AVV is an early-stage venture capital firm that aims to empower tech entrepreneurs in Vietnam and beyond to positively transform the lives of people everywhere.

The firm seeks to invest in companies operating in various sectors including technology, software as a service, b2b, ed-tech, gaming, fintech, consumer, blockchain, b2c, artificial intelligence, wellness, and hardware sectors in Vietnam.

For further information, please visit About (avv.co)